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**FOR
AGENDA**

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May 21, 2014

To: Members of the Executive Board

From: The Secretary

Subject: **Democratic Republic of the Congo—Staff Report for the 2014 Article IV Consultation**

Attached for consideration by the Executive Directors is the staff report for the 2014 Article IV consultation with the Democratic Republic of the Congo, which is tentatively scheduled for discussion on **Monday, June 9, 2014**. Unless an objection from the authorities of the Democratic Republic of the Congo is received prior to the conclusion of the Board's consideration, the document will be published. Any requests for modifications for publication are expected to be received two days before the Board concludes its consideration.

Questions may be referred to Mr. Toe (ext. 36557) and Mr. Fischer (ext. 34249) in AFR.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Friday, May 30, 2014; and to the African Development Bank, the Common Market for Easter and Southern Africa, and the European Commission, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

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DEMOCRATIC REPUBLIC OF THE CONGO

STAFF REPORT FOR THE 2014 ARTICLE IV CONSULTATION

May 20, 2014

KEY ISSUES

Context and outlook: Despite strong macroeconomic performance under the Fund-supported program (2009–12) with economic activity steadily accelerating and inflation declining sharply, poverty remains pervasive and the economy vulnerable, exposing this progress to reversal. Limited fiscal space and shocks to revenues often offset by expenditure adjustments have not supported pro-poor and critical investment spending necessary for inclusive growth, giving rise to mounting social demands to share in the benefits of the accelerating growth.

Focus of consultation: The discussions focused on medium-term policy measures to preserve macroeconomic stability while promoting inclusive growth, improve transparency and good governance in the natural resources sector; and foster financial stability and development.

Key policy recommendations:

- Maintain the fiscal anchor of no (net) central bank financing of the budget while creating fiscal space through enhanced domestic revenue mobilization, and improving the quality of public spending through public financial management (PFM) reforms, and building more robust buffers against external shocks.
- Implement measures included in the updated governance matrix agreed with the World Bank and the recommendations of the Extractive Industries Transparency Initiative (EITI) and the National Conference on Mineral Resources Management (NCMRM) to enhance transparency and good governance in the management of natural resources.
- Accelerate reforms of the Central Bank of the Congo (BCC) and the financial sector by (i) passing the central bank law to strengthen its independence and governance, (ii) completing its recapitalization, and (iii) strengthening its analytical capacity, (iv) disengaging from non-core activities, and (v) implement FSAP recommendations to promote financial sector stability and development.

DEMOCRATIC REPUBLIC OF THE CONGO

Approved By
**Michael Atingi-Ego
and Ranil Salgado**

Discussions took place in Kinshasa and Lubumbashi during February 11–26, 2014, and were concluded in Washington DC at the time of the Spring Meetings (April 9–10, 2014). The staff team comprised Messrs. Toé (head), Fischer, Melhado, Mvogo, Ms. Salins (all AFR); Mr. Petit (FAD); Ms. Oliva (MCM); and Mr. N’Sonde (OED). Discussions were held with the Prime Minister, the Vice-Prime Minister in charge of the budget; the Minister Delegate in charge of Finance; the Governor of the BCC; the Economic and Finance Commissions of the Senate and the National Assembly, and senior provincial officials. The mission also met with a broad range of stakeholders and development partners.

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BACKGROUND

1. The Democratic Republic of the Congo (DRC) achieved strong macroeconomic performance under the Fund-supported program (2009–12) with economic growth steadily accelerating and inflation declining sharply. However, poverty remains pervasive and the economy vulnerable, exposing this progress to reversal. Limited fiscal space and shocks to revenues often offset by expenditure adjustments have not supported pro-poor and critical investment expenditures necessary for inclusive growth. Poor alignment of the budget with the priorities set in the Poverty Reduction Strategy Paper (PRSP) also contributed. As a result, the DRC would most likely not reach any of the Millennium Development Goals (MDGs) by the 2015 deadline (Text Table 1 and Table 8). This is borne out from the preliminary data from a recent household survey, which indicate that poverty declined only marginally from 71 to 63 percent between 2005 and 2012 despite economic growth averaging 6.3 percent over this period.

Text Table 1. Democratic Republic of the Congo: Progress to MDGs

Millennium Development Goals	1990 MDG Benchmark	Current status (2012)	Likelihood of achieving target by 2015
1. Halve the rates for extreme poverty and malnutrition			
Poverty headcount ratio at 1.25\$ a day (PPP) (% of population)	88 (2005)	...	Low
Poverty headcount ratio at national poverty line (% of population)	71 (2005)	63	Low
2. Achieve universal primary education			
Primary completion rate, total (% of relevant age group)	52	73	Low
3. Promote gender equality and empower women			
Raise the ratio of girls to boys in primary school to 100%	71	88	Medium
4. Reduce child mortality by two-thirds			
Reduce under 5- mortality rate (per 1,000)	171	146	Low
Reduce infant mortality rate (per 1,000 live births)	112	100	Low
5. Improve maternal health			
Maternal mortality ratio (modeled estimate, per 100,000 live births)	930	540	Low
6. Combat HIV/AIDS, malaria, and other diseases			
Prevalence of HIV/AIDS (% of population ages 15-49)	1.3	1.1	...
7. Ensure environmental sustainability			
Access to an improved water source (% of population)	43	46	Low

Sources: Congolese authorities; and Table 8.

2. **Domestic political uncertainty is taming the implementation of structural reforms.** Lack of progress in structural reforms, particularly in the management of natural resources, was the main cause for not completing three reviews under the previous Extended Credit Facility (ECF) arrangement, which expired on December 10, 2012. A cabinet reshuffle, rumored since early 2013 and confirmed by President Kabila in late October following the conclusion of a “National Dialogue” is yet to take place. This uncertainty is paralyzing economic decision-making process, including initiation of discussions on a new Fund-supported program.

3. There has been growing optimism for the return of lasting peace in the DRC. First, in February 2013, a Peace, Security, and Cooperation Framework for the DRC was signed in Addis Ababa by the United Nations Secretary-General and 11 African heads of state committing the signatories to work for a sustained peace in the Great Lakes region. Second, in November the DRC's army, backed by the UN peacekeeping force, defeated a major rebel group (M23) and is shifting its attention to some other rebel groups. However, peace remains fragile as some institutional reforms under the peace agreement are yet to be fully implemented.

4. The authorities have been receptive to the Fund's policy advice under the Article IV consultation, but some key recommendations have been implemented with varying degrees of determination. The authorities maintained the fiscal anchor¹ adopted in 2009, which has been the pillar of the current macroeconomic stability. However, the recommended increase in international reserve coverage of imports to better hedge against external shocks fell short of target and some structural reforms, including the recapitalization of the BCC stalled. For other reforms, such as improving transparency and management of natural resources and strengthening the BCC's supervision and analytical capacity progress remained slow.

RECENT ECONOMIC DEVELOPMENTS, OUTLOOK AND RISKS

5. The DRC's macroeconomic performance in 2013 was strong (Figure 1, Tables 1–4). Gross domestic product (GDP) growth is estimated at 8.5 percent in real terms up from 7.2 percent in 2012. Benefitting from the benign global environment, the DRC continues to gain from strong trade and investment inflows from non-European countries. The mining sector remains the main driver of growth, particularly copper production, which increased by 52 percent in volume terms, with the commercial and construction sectors also performing well. Nonetheless, estimating overall growth is challenging given the lack of comprehensive source data and weak institutional capacities for compiling national accounts by the National Statistics Institute (*Institut national de la statistique*—INS).

6. Inflation fell to a historic low and the exchange rate remained stable, but reserve coverage stagnated. Inflation fell further in 2013 to 1.0 percent at end-December, benefiting from a restrictive fiscal policy, control of the monetary aggregates, and the absence of major import price shocks.² The exchange rate remained remarkably stable in 2013, and the US\$50 million accumulated international reserves were only sufficient to keep the reserve coverage unchanged from 2012, at 7.7 weeks of imports of goods and services.

¹ The anchor, adopted in the context of the ECF-supported program, consists of a zero financing from the central bank (apart from the use of counterpart funds from HIPC and MDRI).

² There is a significant pass-through from international food prices and the exchange rate to inflation (WP/13/226).

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7. Budget execution in 2013 was consistent with the fiscal anchor. The domestic and overall fiscal balances were contained at 0.2 and -1.7 percent of GDP respectively, despite a significantly weaker revenue performance in 2013 compared to 2012. Total revenue (excluding grants) fell by 1.9 percentage points of GDP on account of lower bonus and license payments in the mining and telecommunications sectors and weaker value added tax (VAT) performance³ (1 percentage point of GDP) that were partially offset by a strong performance in direct taxes. Consistent with the fiscal anchor, spending adjusted downwards with exceptional spending (security and elections) dropping the most (1.1 percent of GDP). Domestically-financed capital spending nevertheless increased by 1.0 percent of GDP, resulting in an overall fiscal deficit of 1.7 percent of GDP in 2013. Payments of domestic arrears (0.3 percent of GDP), brought financing needs to 2.0 percent of GDP, of which 0.4 percent was met with a drawdown of debt relief-related deposits and the balance with external financing.

8. Despite deterioration in the external current account, the external position remained in surplus in 2013. This surplus of US\$65 million (0.2 percent of GDP) is lower than the 2012 figure because the current account deficit widened by 2.1 percentage points of GDP to 10.1 percent of GDP in 2013. This higher deficit is in turn essentially due to higher mining related imports and higher profits repatriation, which have been reclassified, resulting in almost a doubling of the income deficit (Table 4).

9. There has been very little progress on the structural reforms launched three years ago at the BCC. Recapitalization has not moved forward and the BCC continues to perform activities that are nonessential for the conduct of monetary policy, namely management of the hospital center and the mint. Further, the budget constraints imposed on the BCC could limit its ability to implement effective monetary policy given its difficult financial situation.

10. Medium-term economic growth prospects remain favorable. The economy is projected to grow at 8.7 percent in 2014 and on average 7.5 percent during 2015–18. The mining sector is expected to remain the main driver of growth, including with the investment phase of the Sino-Congolese joint venture (Sicomines) accelerating. Growth is also expected to be buoyed in the construction, commercial, transport, and communication sectors, which benefit from mining investments. The medium-term growth projections could be even stronger if the current deficit in electricity production is addressed to support mining production. In 2014, headline inflation is targeted at 4 percent, which appears achievable in light of current trends and projected commodity prices. Average inflation is expected to remain low at around 5 percent during 2015–18.

11. The fiscal stance is expected to remain consistent with the fiscal anchor, which continues to be appropriate to tame inflation expectations. In 2014, revenues are projected to return to the pre-2013 trend, despite lingering concerns about the VAT performance and reach 13.9 percent of GDP, while public spending is expected to increase marginally to 19.6 percent. Domestically-financed capital spending would decrease from 2.2 percent of GDP in 2013 to

³ The recent counter-performance appears to be linked to increased VAT credits. Multiple accounting changes related to the VAT refund account have also complicated calculation of the net VAT. A detailed analysis of the VAT performance is being undertaken.

1.9 percent, resulting in a projected increase in the domestic fiscal surplus to 0.5 percent of GDP in 2014, with domestic financing needs expected to be virtually nil. Over the medium term, fiscal policy is expected to remain supportive of macroeconomic stability.

12. The external current account deficit is projected to decline gradually over the medium term and help maintain the overall position in surplus. As a result, reserves coverage would improve from 7.7 weeks in 2013 to 8.3 weeks on average during 2014–16. Nevertheless, this level would fall short of the 10 weeks objective that the authorities had set earlier for 2012 and far below the optimal level (Appendix I, paragraph 12). The trade balance is projected to improve, spurred by rising exports of goods. This performance should more than offset the deterioration in the income balance and contributes to lowering the current account deficit to 9.3 and 8.8 percent of GDP in 2014 and 2015, respectively.

13. The outlook is subject to a number of downside risks (Table 6). The DRC's dependency on mineral resources, lack of progress in reforming the BCC into an efficient, independent and well capitalized central bank and an escalation of the armed conflict are the main risks.

14. Heavy dependence on the natural resource sector: As indicated in Table 6, a sustained decline in commodity prices (in particular copper prices) would result in lower fiscal revenues and export earnings, which in turn could lead to lower spending in priority sectors and investments further slowing poverty reduction. Staff simulated a commodity price shock with copper prices 40 and 15 percent lower than the baseline levels in 2014 and 2015, respectively. The results are: (i) a 4 percentage point drop in real GDP growth in 2014 and a 0.1 point drop in 2015; (ii) a cumulative decline in fiscal revenue 3.7 percentage points of GDP over 2014–15; (iii) a widening of the current account deficit in 2014 by 7 percentage points of GDP; and (iv) a significant depreciation of the exchange rate, which in turn leads to inflation jumping to 40 percent. An escalation of the armed conflict could have similar consequences as mines close, fiscal revenue declines and security expenditures increase.

15. Another risk relates to a continued inaction on the reforms of the BCC. Protracted delays in recapitalizing and reforming the BCC could eventually trigger a chain of negative reactions: loss of its credibility, higher inflation, a depreciation of the currency, loss of international reserves, a run on deposits in the banking sector as the BCC would not be able to act as a lender of last resort for dollar deposits (Appendix III).

POLICY DISCUSSIONS

A. Promoting sustained and inclusive growth while consolidating macroeconomic stability

16. Staff supported the authorities' fiscal policy stance, but stressed the need to create more fiscal space. Balancing the budget has essentially relied on expenditure adjustments which could be avoided by increasing revenues and improving the quality of spending (Appendix II). The volatility and unpredictability of external financing and of revenues from natural resources, coupled with a lack of control over revenues from the non-resource sector has put the burden of adjustment to achieve a balance budget on expenditures. Given the country's enormous needs for infrastructure and social spending (e.g., education and health), this situation has created an unwanted tradeoff between current macroeconomic stability and future growth. Such a trade-off could be avoided by increasing revenues and improving the quality of spending (Appendix II). Based on the DRC's tax potential (Box II.1.), staff estimates that the revenue-to-GDP ratio could be increased by more than 7 percentage points of GDP over the medium term. The least volatile and most predictable revenues (non-natural resource and non-grant revenues) represent less than 10 percent of non-natural resource GDP, or substantially below DRC's peers. Staff recommended accelerating PFM reforms aimed at improving the quality of spending and broadening the tax base through (i) strengthening government control over the VAT, (ii) streamlining the many procedures at customs and securing borders, and (iii) interconnecting computer systems of the Customs and Tax departments.

17. There is also the need to build policy space and strike the right balance between various macroeconomic objectives. Staff recommends targeting inflation at around 4 to 6 percent, which would create additional space for reserve accumulation. Depending on the assumed opportunity cost of holding reserves, the optimal coverage level for the DRC is between 5.7 and 14.1 months, an objective that can only be feasible over the long run (Figure I.10.). For the medium term, staff recommends aiming for reserve coverage of at least three months of imports, coupled with a flexible exchange rate to be able to deal with exogenous shocks. This objective should be achievable while maintaining broad macroeconomic stability.

18. A reformed and efficient BCC could partly shift the burden of macroeconomic stability towards the central bank. The BCC's independence and analytical capacity needs strengthening to enhance its credibility as a precondition for a successful de-dollarization and more effective monetary policy. The slow progress, or reform reversal, of structural reforms at the BCC is a source of concern. Staff recommends that the authorities recapitalize the BCC and make it an independent and accountable entity with the capacity to carry out its mandate of maintaining price stability and financial sector stability. Staff also recommends BCC's divestment of the hospital center and the mint, which are not consistent with its mandate. The budget constraints on the BCC and its inadequate foreign exchange reserve levels limit its ability to control inflation by making it difficult to absorb excess liquidity through the sale of foreign exchange or the issuance of central bank bills. The de-dollarization strategy that the authorities are implementing requires a stable macroeconomic

environment, a credible, efficient and independent central bank, effective banking supervision, and sufficiently well-developed financial infrastructure.

19. Promoting inclusive growth is imperative given the persistently high poverty rate.

International experience suggests that sustained high growth and adequate social spending is vital for reducing poverty. Furthermore, sectors intensive in labor and family businesses like the agriculture and service sectors have a relatively stronger impact on poverty reduction than the industrial mining sector⁴—a sector poorly integrated with the rest of the economy. Staff thus recommended to the authorities to increase social spending and investment in labor intensive sectors such as agriculture, and improve the business environment, including through infrastructure development to promote private sector participation in employment creation.

20. Medium-term growth can be further accelerated if key obstacles are addressed. The growth take-off envisioned by the authorities could materialize once the electricity deficit constraining mining companies' expansion plans is overcome, feeder roads are developed, and the business climate is significantly improved. Staff has developed an alternative scenario consistent with its policy recommendations that shows an acceleration of growth to double digits by 2016 (mainly in agriculture and other non-mineral resource sectors), a moderately higher inflation, a depreciation of the exchange rate, and faster reserve accumulation (Table 5 and Text Table 2).

Text Table 2. Democratic Republic of the Congo: Selected Economic and Financial Indicators: Baseline and Alternative Scenarios, 2013–19

	2013	2014	2016	2018	2019	2014	2016	2018	2019
	Est.	Baseline				Alternative scenario			
Real GDP	8.5	8.7	7.9	6.4	5.7	8.8	10.4	8.7	8.0
Consumer prices, end-of-period	1.0	3.7	5.0	5.5	5.5	4.0	5.5	6.0	6.0
Fiscal revenue (% of GDP)	13.0	13.9	14.7	14.9	15.0	13.9	15.3	18.5	19.5
Overall balance, including grants (% of GDP)	-1.7	-2.2	-1.6	-3.6	-3.0	-2.2	-1.7	-2.9	-2.5
Current account, including grants (% of GDP)	-10.1	-9.3	-7.8	-7.1	-6.4	-9.3	-7.5	-6.2	-4.9
Gross reserves (weeks of non-aid imports of goods and services)	7.7	8.4	8.6	8.5	8.3	8.4	9.7	10.6	11.3

Sources: Congolese authorities; and IMF staff estimates and projections.

Authorities' views

21. The authorities broadly concurred with the staff's analysis and policy recommendations, but found staff's medium-term growth projections too conservative. They indicated that their own projections were higher (9.5 percent in 2014 and 10.7 percent on average over 2015–17) predicated on continued strong expansion in mining production and agriculture,

⁴ See Regional Economic Outlook for sub-Saharan Africa, Spring 2014.

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which is receiving increased investments. They stressed that sustained growth over the medium to long term is needed to address pervasive poverty and indicated their strong commitment to implement the right policies. However, while sympathetic of staff's advice on the policy mix to maintain macroeconomic stability, they stressed that given the DRC's history of hyperinflation and dramatic devaluations, very low inflation and exchange rate stability are paramount macroeconomic objectives. Nonetheless, the authorities would endeavor to accumulate international reserves market conditions permitting.

22. The authorities fully shared staff's emphasis on revenue mobilization, but pointed to administrative constraints that are being addressed. They noted in particular, weak capacity and lack of infrastructure, including deficient communications, poor working conditions, governance issues, and dealing with highly sophisticated international taxpayers. They concurred with staff on the need to closely monitor and track on monthly basis VAT reimbursements and also shared staff's assessment that the disappointing VAT performance reflected wider difficulties that will need to be addressed through a tighter control of the tax base. They stressed that improvements in this area was consistent with their objective to raise revenues. They also underlined the potential of the mining sector for significant additional tax revenues and welcomed the Fund's continued technical assistance (TA) in modeling tax revenues from the mining sector and advice on new mining code.

23. The authorities also concurred with the need to reform the BCC to make it a more effective and accountable institution. They indicated that under the new BCC's management, the pace of reforms has picked up with renewed efforts to disengage from non-core activities and rationalize the BCC's operations. They felt strongly that the recapitalization of the BCC should be linked to significant improvement in its operating results.

B. Improving transparency and good governance in natural resource management

24. Improving transparency and governance in the natural resource sector remains a major challenge. The DRC was suspended in April 2013 from the EITI for a year, but expects to become compliant by May 2014 upon completion of certain reporting requirements. Transparency should also extend to the infrastructure loans under the Sicomines agreement (DSA, paragraphs 9 and 13). Structural reforms aimed at improving the governance of SOEs in the mining sector have been introduced, but progress remains slow. Moreover, Gécamines, beneficiary of mining royalties that would otherwise accrue to the Treasury, continues to divest assets without competitive biddings in disregard of a government's decree. The SOEs claim that a recent change in their status to commercial enterprises enables them to make independent business decisions. Consistent with World Bank's advice, staff urged the authorities to closely monitor the sale of assets by SOEs and improve their management by strengthening the capacity and accountability of government representatives on their boards of directors. Lastly, the authorities could benefit from drawing on international best practices when revising the mining and petroleum codes (the former being discussed with stakeholders and the latter tabled before parliament) and from strengthening the anti-money laundering framework to address the illegal exploitation of natural resources.

Authorities' view

25. The authorities concurred that governance and transparency of the sector remain a challenge, including the corporate governance of the SOEs operating in the sector. They pointed to the NCMRM organized in January 2013 to promote best practices⁵ and the subsequent governance matrix (GM) agreed with the World Bank aimed at enhancing transparency across the board in the management of natural resources. They indicated that 136 mining contracts have been published and annual productions and exports for 2003–12 have been made available.

C. Promoting Financial Stability and Development

26. The Financial Sector Assessment Program (FSAP) conducted in 2013 for the first time proved timely. It concluded that the financial system remains underdeveloped and subject to major weaknesses (Appendix III). Stress tests conducted by staff revealed that the banking sector is particularly vulnerable to liquidity shocks, owing to the absence of risk-based supervision, inadequate regulation, and lax implementation of the regulations governing the financial system. Consequently, staff recommended that the authorities (i) strengthen the BCC's capacities for data collection to enhance monitoring and analysis (in particular with regard to nonperforming loans) and introduce risk-based supervision; (ii) adopt a law on the statutes of the central bank and the banking law that provide the central bank with the necessary powers to enforce prudential norms and to establish a legal and operational crisis management framework in the coming years; and (iii) promote financial inclusion by adopting a new leasing legislation, strengthening supervision of microfinance institutions, and restructuring the defunct Savings Bank of Congo (CADECO).

27. A credible de-dollarization strategy requires a series of pre-conditions.⁶ Drawing on international experience staff urged the authorities to focus on building the necessary pre-conditions, which are: (i) maintaining macroeconomic stability and increasing international reserve coverage to enhance the credibility of the currency; (ii) clarifying the BCC's mandate to pursue price stability as its primary objective; (iii) recapitalizing the BCC and restoring its operational independence and accountability, (iv) adopting the banking law, clearly defining the legal and regulatory framework; and (v) enhancing the current financial infrastructure (including supervisory framework, payments systems, and safety net tools). Staff welcomed the government's recent efforts on de-dollarization, including the payment of taxes by extractive companies and the Treasury's operating expenses in local currency.

Authorities' views

28. The authorities welcomed the candid analysis and agreed with the main recommendations of the FSAP. They adopted a comprehensive 3-year time-bound action plan to implement them. They already reorganized the banking supervision department to improve its accountability and performance and started the recruitment process of 15 additional staff. This

⁵ The Conference made about 100 recommendations, some of which have been included in the GM. A follow-up conference was organized in March 2014.

⁶ For a discussion about the dollarization and effectiveness of monetary policy in the DRC, see WP/13/226).

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action plan includes the reinforcement of technical capacities and the adoption of a supervisory risk-based framework. They also concurred with the need to pace the process of de-dollarization and step up efforts to strengthen the sector and financial infrastructures. The timeline for the recapitalization of the BCC and the approval of the BCC law, however, remain controversial even within the government agencies.

OTHER ISSUES

29. The DRC's debt sustainability rating improved from high to moderate risk of debt distress. The improvement stems essentially from an increase in the discount rate from 4 to 5 percent and the large upward revision of GDP (see DSA). The improved macroeconomic fundamentals over the past few years also contributed. Despite this improved rating, the DRC will need to continue to borrow mainly on concessional terms, and improve its debt management capacity.

30. Exchange system. The Real Effective Exchange Rate (REER) level is deemed to be broadly in line with the DRC's macroeconomic fundamentals. The DRC has not introduced any new measures related to the exchange system, but maintains one exchange restriction and one multiple currency practice as described in the Informational Annex.

31. Data provided to the Fund are broadly adequate for surveillance, but there is room for improvement. The FSAP found that data quality and a non-unified treatment in the collection of data and computation of key financial indicators remain a challenge affecting the reliability of the analyses and conclusions. Compilation of national account and balance of payments data is also weak with only few primary source data available. Staff urged the authorities to increase capacities in statistical analysis and to allocate sufficient resources to data production, including at the INS and to expand surveys to key sectors, such as trade, commerce and agriculture production as well as surveys on the informal sector. Demographic, labor and social data are particularly weak which represent a challenge when well targeted poverty reduction policies need to be designed.

Authorities' views

32. Overall, the authorities agreed with staff's assessments on the debt and the external sustainability. The authorities concur with staff that reforms need to be implemented to improve the DRC's competitiveness by improving the business environment. They acknowledged that the management of public debt needed improvement and welcomed Fund TA recently received in this area. They also acknowledged difficulties in compiling debt data, especially from public entities that are not part of the public administration but underlined recent progress. They stressed their intention to continue to borrow on highly concessional terms whenever possible and to carefully scrutinize investment projects for their efficiency. They also concur with the need to accumulate more international reserves, an objective which they need to weigh also against its possible negative effects on the exchange rate and financial sector stability.

33. The authorities recognized challenges in data collection and analysis but underlined recent progress in this area. For example, they recently made resources available to the INS for the collection of CPI data. Furthermore, while demographic data are currently extrapolated from the last

national census from 1985 and adjusted based on a 2006 household survey, a new survey was conducted in 2013 for which results will be published soon. A national census is also planned for 2014/15. The authorities also welcomed the TA they have been receiving for the transition of the national accounts to SNA93.

STAFF APPRAISAL

34. The DRC achieved over the past few years macroeconomic stability against difficult odds. Staff commends the authorities for their resolute pursuit of prudent macroeconomic policies despite spending pressures to address the security challenges, particularly in the eastern part of the country and the absence of budget support from donors. The steady inflows of FDIs in the natural resources sector has been the main driver of the high growth rates and the authorities are encouraged to put in place policies that will promote labor intensive production activities and help reduce poverty.

35. Consolidation of peace in the eastern part of the country and a more stable political environment would help in the implementation of economic reforms. The defeat of the M23 rebel group and the on-going implementation of the Addis Ababa peace agreement represent a unique opportunity to consolidate peace and accelerate the economic reforms needed to sustain the current macroeconomic stability and equitably share its benefits countrywide. To sustain the peace process, the relevant institutional reforms should be accelerated. Also, removing the political uncertainty would help reenergize the implementation of key structural reforms.

36. There is a need for a more ambitious reserve accumulation. The current historic low level of inflation provides the policy space to embark in a faster reserve accumulation without disrupting the foreign exchange market. This could however entail a more flexible exchange rate and the authorities are encouraged to communicate more on the issue to lessen fears of a return to hyperinflation.

37. The authorities are encouraged to build on the hard gained macroeconomic stability and vigorously mobilize domestic revenues to boost social and infrastructure spending. Such an increase in spending is required to turn the current stability into sustainable improvement in social indicators and poverty reduction. While revenues from the mining sector need to be further increased in line with its potential, the authorities also need to tap the large potential of less volatile and more predictable revenues from the non-resource sector. These more predictable resources will better protect key spending against revenue shocks. The Fund stands ready to support the authorities in this endeavor through TA.

38. The limited resources also speak to the importance of improving PFM. Sustained progress in strengthening the budget process, medium-term fiscal planning and quality of spending must be achieved supported by political forces and improved inter-government cooperation.

39. Reforms aimed at enhancing transparency and good governance in the mineral resource sector need to be pursued vigorously. The authorities should (i) accelerate the implementation of the GM and the main recommendations of the NCMRM, and (ii) monitor closely

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the operations of the SOEs and strengthen their oversight over SOEs. Staff also encourages the authorities to review the Gécamines unusual role as a beneficiary of royalties on licensed permits and to reform Gécamines into a company focused on mining production.

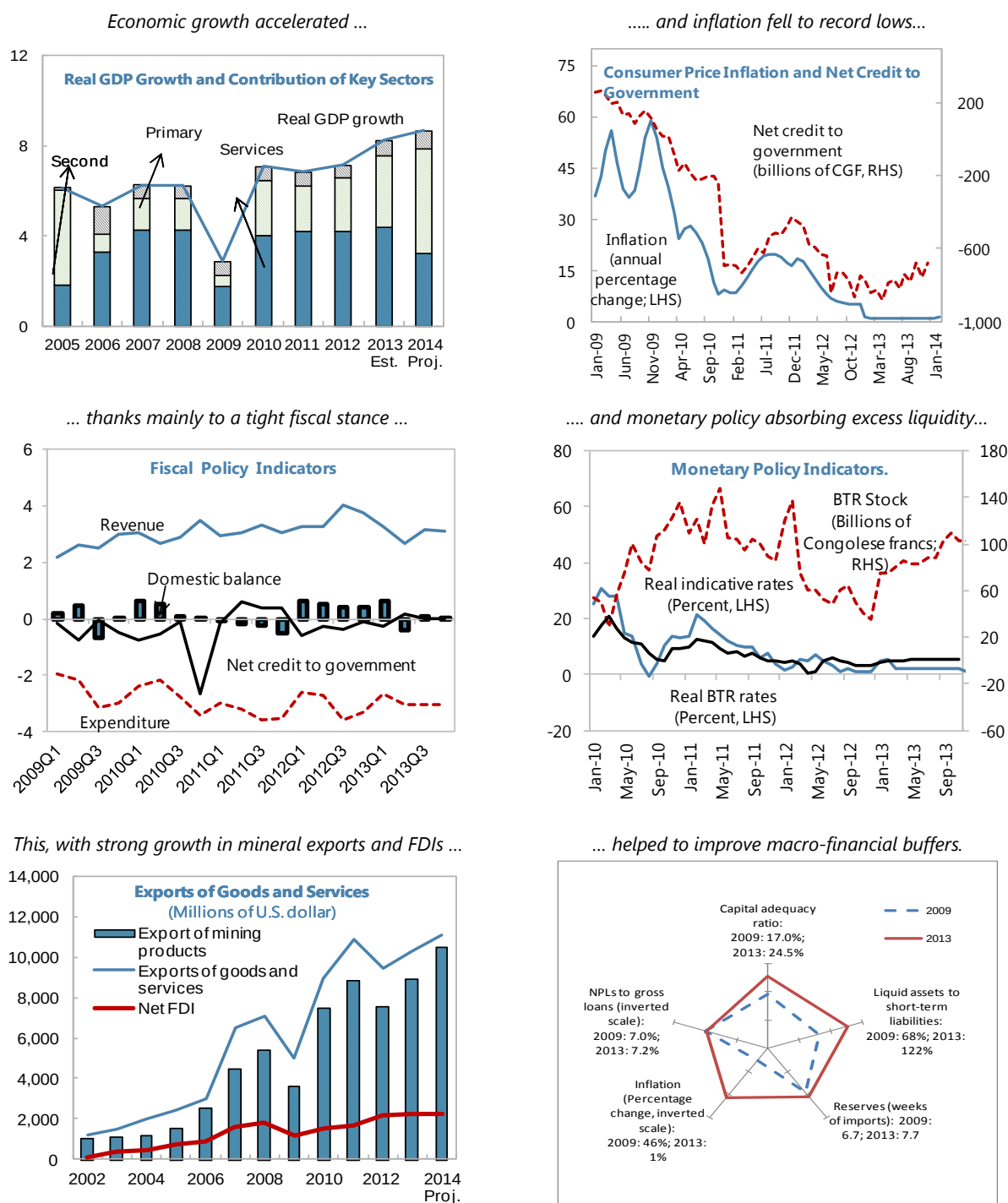
40. Inclusive growth and sustained poverty reduction will largely depend on growth in labor intensive sectors like agriculture, artisanal mining and services. While this requires stepped up social and infrastructure spending, the development of labor intensive businesses will also depend on critical improvements in the business environment. The authorities are encouraged to better align its budget with the PRSP priorities to accelerate progress towards the MDGs.

41. Staff welcomes the authorities' determination in implementing the FSAP recommendations, but urges them to expedite the recapitalization and other reforms of the BCC. Steadfast implementation of the FSAP recommendations is essential for better comprehending emerging risks and in taking timely corrective measures. The recapitalization of the BCC together with other structural reforms aimed at transforming the BCC into an autonomous and efficient central bank is a precondition for de-dollarizing the economy and for monetary policy to play an increasing role for macroeconomic and financial stability.

42. Staff remains concerned about the lack of resources, both in human and financial capital for the production of key statistical data, including the national accounts. A substantially reinforced INS is required to leverage the currently deficient data production and to enable policy makers to take efficient decisions based on real-time data.

43. Staff recommends that the next Article IV consultation with the DRC be held on the standard 12-month consultation cycle.

Figure 1. Democratic Republic of the Congo: Recent Economic Developments



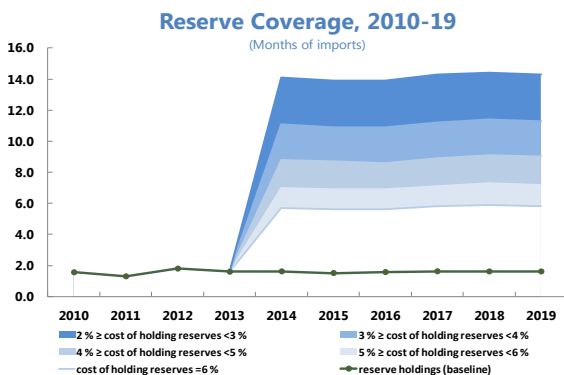
Sources: Congolese authorities; and IMF staff estimates and projections.

DEMOCRATIC REPUBLIC OF THE CONGO

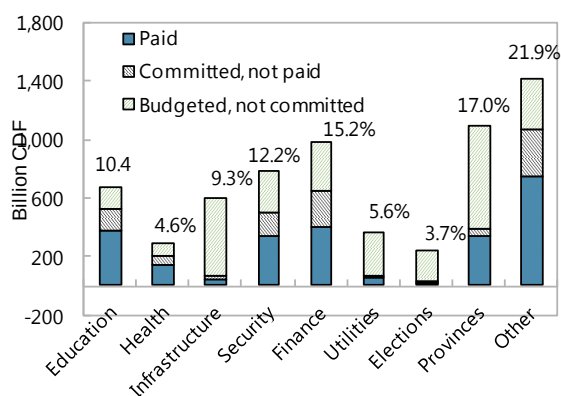
Figure 1. Democratic Republic of the Congo: Recent Economic Developments (concluded)

But the policy buffers remains insufficient for sustained and inclusive growth and hedging against shocks.

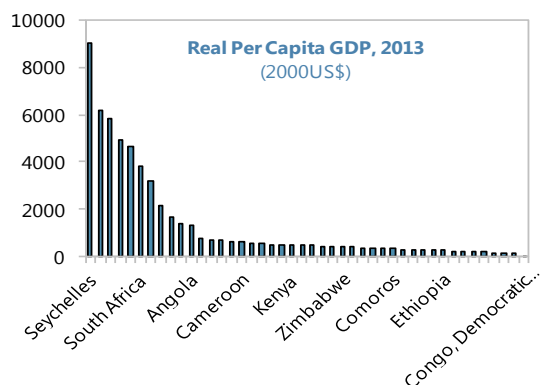
International reserves remain below the optimal reserve coverage ...



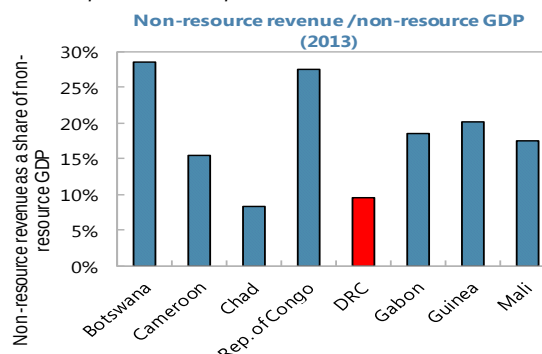
... and budget execution is weak ...



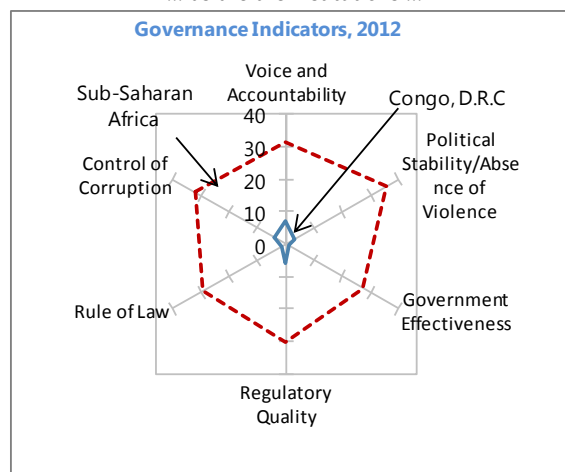
... resulting in a lower GDP per capita compared to peers ...



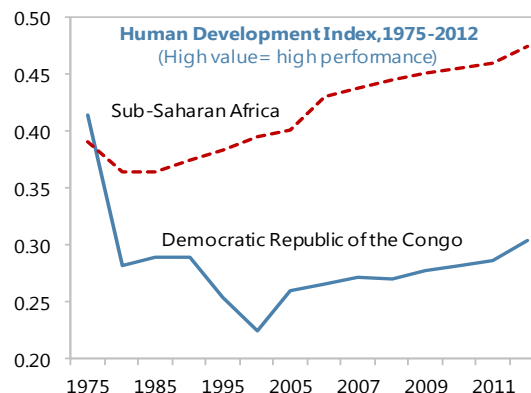
... and domestic revenue excluding natural resources are far below potential and peers ...



... as are the institutions ...



... and weak development indicators, although improving.



Sources: Congolese authorities; and IMF staff estimates and projections.

Table 1. Democratic Republic of the Congo: Selected Economic and Financial Indicators, 2011–19

	2011	2012	2013	2014	2015	2016	2017	2018	2019
			Est.				Proj.		
(Annual percentage change; unless otherwise indicated)									
GDP and prices									
Real GDP	6.9	7.2	8.5	8.7	8.5	7.9	7.3	6.4	5.7
GDP deflator ¹	10.3	7.5	0.7	1.3	2.9	4.0	4.8	5.6	5.1
Consumer prices, period average ¹	15.5	2.1	0.8	2.4	4.1	4.8	5.3	5.5	5.5
Consumer prices, end-of-period ¹	15.4	2.7	1.0	3.7	4.5	5.0	5.5	5.5	5.5
External sector									
Exports, f.o.b. (U.S. dollars)	19.9	-13.7	16.6	16.5	12.1	11.9	11.5	7.5	8.8
Imports, f.o.b. (U.S. dollars)	23.8	-7.0	16.3	5.1	6.2	10.1	6.4	8.6	6.8
Export volume	19.6	-1.7	25.0	7.5	12.1	11.5	10.8	6.8	8.1
Import volume	5.0	-7.8	15.4	8.7	7.9	10.5	6.4	8.3	6.4
Terms of trade	-11.8	-11.5	-7.2	12.4	2.0	1.0	0.5	0.4	0.3
(Annual change in percent of beginning-of-period broad money; unless otherwise indicated)									
Money and credit									
Broad money	23.2	21.1	18.1	10.1	13.1	...	...	...	...
Net foreign assets	-3.7	22.9	2.3	10.7	7.1	...	...	...	...
Net domestic assets	25.9	-1.9	15.7	-0.5	6.1	...	...	...	...
Domestic credit	19.2	-4.6	14.5	5.2	5.9	...	...	...	...
Of which:									
Net credit to government (annual percent change)	11.7	-18.9	3.6	-0.2	0.3	...	...	...	...
Credit to the private sector (annual percent change)	16.7	25.6	26.5	11.9	12.0	...	...	...	...
(Percent of GDP; unless otherwise indicated)									
Central government finance									
Revenue and Grants	18.0	20.1	17.4	17.4	18.2	19.3	19.3	19.1	18.9
Revenue	12.4	14.9	13.0	13.9	14.0	14.7	14.8	14.9	15.0
Grants	5.6	5.2	4.4	3.5	4.2	4.6	4.5	4.2	3.9
Expenditure	19.1	19.5	19.1	19.6	19.9	20.9	22.3	22.7	22.0
Domestic fiscal balance (cash basis)	-1.1	1.2	0.2	0.5	0.7	0.7	0.2	-0.3	-0.8
Net borrowing/lending (overall balance, incl grants)	-1.2	0.6	-1.7	-2.2	-1.7	-1.6	-3.0	-3.6	-3.0
Investment and saving									
Gross national saving	10.5	12.3	11.2	12.2	13.7	15.8	17.4	17.8	17.5
Government	1.1	3.7	2.9	3.4	3.8	4.3	4.2	4.0	3.9
Nongovernment ²	9.4	8.5	8.3	8.8	9.9	11.5	13.2	13.8	13.6
Investment	16.5	20.3	21.3	21.6	22.7	23.8	25.0	25.1	24.2
Government	4.4	6.1	6.4	6.2	6.6	7.0	7.9	7.7	6.5
Nongovernment	12.1	14.2	14.9	15.3	16.1	16.8	17.1	17.4	17.7
Balance of payments									
Exports of goods and services	45.5	34.1	36.4	39.1	40.2	41.3	42.3	41.8	42.4
Imports of goods and services	50.3	40.0	42.5	41.1	39.9	40.1	39.2	39.2	39.0
Current account balance, incl. transfers	-5.9	-8.0	-10.1	-9.3	-8.8	-7.8	-7.4	-7.1	-6.4
Current account balance, excl. transfers	-9.3	-10.9	-15.4	-14.0	-12.9	-12.0	-11.5	-11.1	-10.3
Gross official reserves (end-of-period, millions of U.S. dollars)	1300	1645	1695	1905	1955	2165	2425	2575	2725
Gross official reserves (weeks of non-aid-related imports of goods and services)	7.7	7.7	7.7	8.4	8.1	8.6	8.8	8.5	8.3
(Millions of U.S. dollars; unless otherwise indicated)									
External public debt									
Total stock, including IMF	4,629	4,662	5,196	6,055	7,096	8,012	9,495	10,953	12,128
Present value (PV) of debt ³	4,763	5,354	3,205	3,918	4,504	5,139	6,058	7,063	7,805
PV of debt (percent of exports of goods and services)	43.5	57.0	29.5	31.1	32.0	32.7	34.6	37.6	38.1
Scheduled debt service	160.0	181.7	194.6	189.3	330.0	366.5	403.1	341.3	317.3
Percent of exports of goods and services	1.5	1.9	1.8	1.5	2.3	2.3	2.3	1.8	1.5
Percent of government revenue	5.4	4.4	5.0	4.2	6.6	6.4	6.4	5.0	4.3
Exchange rate, (CGF per U.S. dollar)									
Period average	918	919	919	...	...	...	...	...	...
End-of-period	911	915	926	...	...	...	...	...	...
Memorandum item:									
Nominal GDP (CGF billions) ¹	21,913	25,250	27,596	30,390	33,939	38,094	42,838	48,132	53,469

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ Starting in 2012 CPI numbers are calculated by INS using a revised methodology. The CPI for 2012 according to the previous methodology amounted to 5.7 percent (eop) and 9.3 (average).

² The projections for 2011 and beyond account for mining companies profit outflows.

³ Projections are based on calculations under the 2010 HIPC Debt Sustainability Analysis (EBS/10/121, 06/16/2010). Includes assistance beyond the terms of the enhanced HIPC Initiative granted by some Paris Club creditors. Exports are a trailing three-year moving average.

DEMOCRATIC REPUBLIC OF THE CONGO

Table 2a. Democratic Republic of the Congo: Central Government Financial Operations, 2011–19

	2011	2012	2013	2014	2015	2016	2017	2018	2019
	Est.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
(Billions of Congo francs; unless otherwise indicated)									
Total revenue and grants	3,940	5,069	4,796	5,293	6,186	7,355	8,271	9,209	10,130
Total revenue	2,714	3,763	3,585	4,231	4,765	5,613	6,357	7,175	8,032
Excl. signing bonus for joint venture with China	2,714	3,459	3,585	4,231	4,765	5,613	6,357	7,175	8,032
Customs and excise	1,001	1,310	1,322	1,634	1,776	2,227	2,531	2,843	3,181
Direct and indirect taxes	956	1,227	1,417	1,680	1,989	2,291	2,614	2,979	3,358
Petroleum (royalties and taxes)	367	332	334	388	388	394	404	418	420
Nontax revenues	389	895	512	528	612	701	808	935	1,074
Signing bonus for joint venture with China	0	304	0	0	0	0	0	0	0
Other signature bonuses and license revenue	24	145	0	0	0	0	0	0	0
Other	365	445	512	528	612	701	808	935	1,074
Total grants	1,226	1,306	1,212	1,063	1,422	1,743	1,914	2,034	2,098
Budget grants	44	0	8	0	0	0	0	0	0
Project grants	849	958	764	632	959	1,249	1,386	1,554	1,571
HIPC Initiative assistance ¹	333	348	440	431	462	493	528	480	527
Total expenditure	4,194	4,922	5,275	5,950	6,749	7,965	9,570	10,919	11,757
Current expenditure	2,386	2,620	2,901	3,378	3,885	4,432	5,069	5,814	6,602
Wages	1,091	1,256	1,398	1,570	1,736	1,948	2,191	2,461	2,734
Interest due	381	373	356	318	393	395	397	400	404
Transfers and subsidies	346	408	447	578	649	743	841	949	1,061
Goods and services	567	583	700	913	1,107	1,345	1,639	2,004	2,402
Capital expenditure	1,253	1,762	2,129	2,280	2,762	3,437	4,395	4,984	5,022
Foreign-financed	876	1,456	1,522	1,713	2,027	2,441	3,143	3,434	3,130
Domestically-financed	377	305	607	566	735	996	1,252	1,551	1,892
Exceptional expenditure ²	561	541	273	195	0	0	0	0	0
Foreign-financed	174	139	69	38	0	0	0	0	0
Domestically-financed	388	402	204	158	0	0	0	0	0
Budget reserve	0	0	0	96	102	95	107	120	134
Overall fiscal balance (payment order basis)	-255	146	-478	-656	-563	-609	-1,299	-1,710	-1,628
Change in arrears (increase = +)	-56	-60	-75	-93	-96	-98	-102	-105	-109
Central bank operational result	1	-17	0	0	0	0	0	0	0
Overall fiscal balance (cash basis, before interest rescheduling)	-310	70	-553	-750	-658	-708	-1,401	-1,816	-1,736
Domestic fiscal balance ³	-244	292	60	162	241	276	104	-149	-446
Total financing	310	-70	553	750	658	708	1,401	1,816	1,736
Domestic financing	300	-369	113	-7	13	-127	74	309	88
Banking system ⁴	230	-457	113	-7	13	-127	74	309	88
of which: Use of HIPC resources	64	0	8	-7	13	-127	74	309	88
Other sources of domestic financing	70	88	0	0	0	0	0	0	0
Foreign financing (net)	11	414	440	757	646	736	1,225	1,402	1,023
Amortization (including debt relief)	-258	-275	-387	-362	-423	-456	-531	-478	-536
Project loans	269	689	828	1,119	1,068	1,192	1,757	1,880	1,559
Residual financing need/errors and omissions	-1	-115	0	0	0	98	101	105	626
Memorandum items:									
GDP	21,913	25,250	27,596	30,390	33,939	38,094	42,838	48,132	53,469
Domestically-financed spending	2,958	3,167	3,525	4,068	4,524	5,337	6,252	7,323	8,478
Expenditure on education, health, and rural sector development	942	1,086	1,187	1,307	1,460	1,638	1,842	2,070	2,300

Sources: Congolese authorities and IMF staff estimates and projections.

¹ Reflects revised calculation of HIPC Initiative assistance on the basis of the 2010 Debt Sustainability Analysis (EBS/10/121,16/06/2010).

² Exceptional expenditure includes spending for the Demobilization, Disarmament, and Reintegration (DDR) program, and cost of the elections.

³ The domestic fiscal balance is defined as revenue (excluding the signing bonus from the SCCA) minus total expenditure (excluding interest on foreign debt, foreign-financed capital, and exceptional expenditure).

⁴ For 2011 onward, all banking system financing reflects the use of government deposits, including IMF HIPC relief, and program adjusters.

Table 2b. Democratic Republic of the Congo: Central Government Financial Operations, 2011–19

	2011	2012	2013	2014	2015	2016	2017	2018	2019
			Est.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
(Percent of GDP; unless otherwise indicated)									
Total revenue and grants	18.0	20.1	17.4	17.4	18.2	19.3	19.3	19.1	18.9
Total revenue	12.4	14.9	13.0	13.9	14.0	14.7	14.8	14.9	15.0
Excl. signing bonus for joint venture with China	12.4	13.7	13.0	13.9	14.0	14.7	14.8	14.9	15.0
Customs and excise	4.6	5.2	4.8	5.4	5.2	5.8	5.9	5.9	5.9
Direct and indirect taxes	4.4	4.9	5.1	5.5	5.9	6.0	6.1	6.2	6.3
Petroleum (royalties and taxes)	1.7	1.3	1.2	1.3	1.1	1.0	0.9	0.9	0.8
Nontax revenues	1.8	3.5	1.9	1.7	1.8	1.8	1.9	1.9	2.0
Signing bonus for joint venture with China	0.0	1.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other signature bonuses and license revenue	0.1	0.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other	1.7	1.8	1.9	1.7	1.8	1.8	1.9	1.9	2.0
Total grants	5.6	5.2	4.4	3.5	4.2	4.6	4.5	4.2	3.9
Budget grants	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Project grants	3.9	3.8	2.8	2.1	2.8	3.3	3.2	3.2	2.9
HIPC Initiative assistance ¹	1.5	1.4	1.6	1.4	1.4	1.3	1.2	1.0	1.0
Total expenditure	19.1	19.5	19.1	19.6	19.9	20.9	22.3	22.7	22.0
Current expenditure	10.9	10.4	10.5	11.1	11.4	11.6	11.8	12.1	12.3
Wages	5.0	5.0	5.1	5.2	5.1	5.1	5.1	5.1	5.1
Interest due	1.7	1.5	1.3	1.0	1.2	1.0	0.9	0.8	0.8
Transfers and subsidies	1.6	1.6	1.6	1.9	1.9	2.0	2.0	2.0	2.0
Goods and services	2.6	2.3	2.5	3.0	3.3	3.5	3.8	4.2	4.5
Capital expenditure	5.7	7.0	7.7	7.5	8.1	9.0	10.3	10.4	9.4
Foreign-financed	4.0	5.8	5.5	5.6	6.0	6.4	7.3	7.1	5.9
Domestically-financed	1.7	1.2	2.2	1.9	2.2	2.6	2.9	3.2	3.5
Exceptional expenditure ²	2.6	2.1	1.0	0.6	0.0	0.0	0.0	0.0	0.0
Foreign-financed	0.8	0.6	0.3	0.1	0.0	0.0	0.0	0.0	0.0
Domestically-financed	1.8	1.6	0.7	0.5	0.0	0.0	0.0	0.0	0.0
Budget reserve	0.0	0.0	0.0	0.3	0.3	0.3	0.3	0.3	0.3
Overall fiscal balance (payment order basis)	-1.2	0.6	-1.7	-2.2	-1.7	-1.6	-3.0	-3.6	-3.0
Change in arrears (increase = +)	-0.3	-0.2	-0.3	-0.3	-0.3	-0.3	-0.2	-0.2	-0.2
Central bank operational result	0.0	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall fiscal balance (cash basis, before interest rescheduling)	-1.4	0.3	-2.0	-2.5	-1.9	-1.9	-3.3	-3.8	-3.2
Domestic fiscal balance ³	-1.1	1.2	0.2	0.5	0.7	0.7	0.2	-0.3	-0.8
Total financing	1.4	-0.3	2.0	2.5	1.9	1.9	3.3	3.8	3.2
Domestic financing	1.4	-1.5	0.4	0.0	0.0	-0.3	0.2	0.6	0.2
Banking system ⁴	1.0	-1.8	0.4	0.0	0.0	-0.3	0.2	0.6	0.2
of which: Use of HIPC resources	0.3	0.0	0.0	0.0	0.0	-0.3	0.2	0.6	0.2
Other sources of domestic financing	0.3	0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Foreign financing (net)	0.0	1.6	1.6	2.5	1.9	1.9	2.9	2.9	1.9
Amortization (including debt relief)	-1.2	-1.1	-1.4	-1.2	-1.2	-1.2	-1.2	-1.0	-1.0
Project loans	1.2	2.7	3.0	3.7	3.1	3.1	4.1	3.9	2.9
Residual financing need/errors and omissions	0.0	-0.5	0.0	0.0	0.0	0.3	0.2	0.2	1.2
<i>Memorandum items:</i>									
GDP (billions of CGF)	21,913	25,250	27,596	30,390	33,939	38,094	42,838	48,132	53,469
Domestically-financed spending	13.5	12.5	12.8	13.4	13.3	14.0	14.6	15.2	15.9
Expenditure on education, health, and rural sector development	4.3	4.3	4.3	4.3	4.3	4.3	4.3	4.3	4.3

Sources: Congolese authorities and IMF staff estimates and projections.

¹ Reflects revised calculation of HIPC Initiative assistance on the basis of the 2010 Debt Sustainability Analysis (EBS/10/121,16/06/2010).

² Exceptional expenditure includes spending for the Demobilization, Disarmament, and Reintegration (DDR) program, and cost of the elections.

³ The domestic fiscal balance is defined as revenue (excluding the signing bonus from the SCCA) minus total expenditure (excluding interest on foreign debt, foreign-financed capital, and exceptional expenditure).

⁴ For 2011 onward, all banking system financing reflects the use of government deposits, including IMF HIPC relief, and program adjusters.

DEMOCRATIC REPUBLIC OF THE CONGO

Table 3. Democratic Republic of the Congo: Monetary Survey, 2011–15
(at current exchange rate)

	2011	2012	2013	2014	2015
	Dec.	Dec.	Dec.	Dec.	Dec.
	Act.	Act.	Prel.	Proj.	
(Billions of Congo francs)					
Net foreign assets	834.9	1389.2	1457.8	1829.4	2101.1
Central bank	19.2	337.1	393.4	581.0	634.4
Commercial banks	815.7	1052.0	1064.3	1248.4	1466.7
Net domestic assets	1,608.7	1563.7	2024.3	2008.1	2240.4
Domestic credit	441.0	326.6	712.9	892.5	1116.8
Net credit to government	-521.0	-977.9	-872.8	-879.5	-866.6
Credit to the economy	962.0	1304.5	1585.7	1772.0	1983.4
o/w credit to private sector	913.3	1147.2	1450.8	1623.5	1817.5
o/w credit to parastatals	48.7	157.3	134.9	148.5	165.9
Other items, net (including valuation change)	1,167.7	1237.2	1311.4	1115.5	1123.6
Broad money (M2)	2,418.4	2930.1	3460.4	3810.8	4309.8
Narrow money (M1)	790.1	883.8	1061.5	1073.7	1222.9
Currency in circulation	615.3	595.2	692.9	648.8	720.8
Demand deposits	174.7	288.7	368.6	424.9	502.1
Quasi money	1,628.4	2046.3	2398.9	2737.1	3086.9
Import deposits	25.2	22.8	21.7	26.7	31.7
(Year-on-year change in percent)					
Net foreign assets	-8.0	66.4	4.9	25.5	14.9
Net domestic assets	46.0	-2.8	29.4	-0.8	11.6
Domestic credit	588.8	-25.9	118.3	25.2	25.1
Net credit to government	-30.6	87.7	-10.8	0.8	-1.5
Credit to the economy	18.0	35.6	21.6	11.8	11.9
o/w credit to the private sector	16.7	25.6	26.5	11.9	12.0
o/w credit to parastatals	50.5	223.0	-14.3	10.1	11.7
Other items, net (including valuation change)	12.5	5.9	6.0	-14.9	0.7
Broad money (M2)	23.1	21.2	18.1	10.1	13.1
Narrow money (M1)	11.9	11.9	20.1	1.2	13.9
Quasi money	29.4	25.7	17.2	14.1	12.8
(Annual change in percent of beginning-of-period broad money)					
Net foreign assets	-3.7	22.9	2.3	10.7	7.1
Net domestic assets	25.8	-1.9	15.7	-0.5	6.1
Domestic credit	19.2	-4.7	13.2	5.2	5.9
Net credit to government	11.7	-18.9	3.6	-0.2	0.3
Credit to the economy	7.5	43.3	31.8	17.6	19.7
Other items, net (including valuation change)	6.6	2.9	2.5	-5.7	0.2
Broad money (M2)	23.1	21.2	18.1	10.1	13.1
Narrow money (M1)	4.3	3.9	6.1	0.4	3.9
Quasi money	18.8	17.3	12.0	9.8	9.2
Memorandum items:					
Nominal GDP (billions of Congo francs)	21,913	25,250	27,596	30,390	33,939
Velocity (GDP/broad money)	9.1	8.6	8.0	8.0	7.9
Foreign currency deposits (percent of M2)	66.6	69.0	68.4	67.5	66.6
Foreign currency deposits (percent of total deposits)	89.3	86.5	85.6	81.4	80.0
Net foreign assets of the BCC ¹	19	337	393	581	634
Net domestic assets of the BCC ¹	790	515	591	503	525
Of which: Net credit to government from the BCC ¹	-428	-752	-680	-686	-673
Base money ¹	809	852	984	1,084	1,160
Of which: currency in circulation ¹	647	643	760	687	834

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ In billions of Congo francs at current exchange rates.

Table 4. Democratic Republic of the Congo: Balance of Payments, 2011–19

	2011	2012	2013 ¹	2014	2015	2016	2017	2018	2019
	Est.	Est.				Projections			
	(Millions of U.S. dollars; unless otherwise indicated)								
Current account	-1,416	-2,212	-3,036	-3,017	-3,139	-3,024	-3,099	-3,231	-3,161
Merchandise trade	656	-66	-49	1,086	1,841	2,260	3,146	3,238	3,813
Exports, f.o.b.	9,966	8,597	10,028	11,680	13,094	14,654	16,337	17,560	19,104
Of which: mining and oil	9,724	8,445	9,799	11,360	12,708	14,198	15,804	16,782	18,210
Imports, f.o.b.	-9,311	-8,663	-10,077	-10,594	-11,254	-12,394	-13,191	-14,323	-15,292
Of which: aid-related imports	-1,949	-1,958	-1,456	-1,656	-2,145	-2,633	-3,119	-3,291	-3,058
Services	-1,811	-1,561	-1,791	-1,731	-1,724	-1,819	-1,870	-2,046	-2,153
Receipts	890	767	895	1,042	1,169	1,308	1,458	1,567	1,705
Expenditure	-2,700	-2,328	-2,686	-2,773	-2,892	-3,127	-3,328	-3,614	-3,858
Of which: aid-related imports	-439	-208	-243	-255	-250	-307	-364	-384	-356
Income	-1,299	-1,598	-2,811	-4,170	-4,999	-5,413	-6,456	-6,643	-7,110
Receipts	102	19	49	70	77	84	91	99	106
Expenditure	-1,401	-1,617	-2,861	-4,240	-5,076	-5,497	-6,547	-6,742	-7,216
Of which: interest payments ²	-24	-29	-26	-20	-96	-87	-134	-116	-298
Current transfers	1,038	1,013	1,616	1,798	1,743	1,949	2,080	2,220	2,289
Of which: official aid	798	783	1,581	1,526	1,448	1,626	1,729	1,839	1,879
Capital and financial account	1,361	2,810	3,101	3,319	3,373	3,399	3,541	3,563	2,997
Capital account	855	1,262	495	598	785	944	1,018	1,104	1,115
Official	925	1,042	416	338	501	634	681	738	721
Private	-70	220	79	260	284	310	337	366	393
Capital transfers (HIPC/MDRI)	...	...	...	...	...	...	...	...	...
Of which: from IMF	...	...	...	...	...	...	...	...	...
Financial account	506	1,547	2,606	2,721	2,588	2,455	2,523	2,459	1,882
Official capital	156	598	731	1,028	924	1,018	1,504	1,517	1,158
Gross disbursements	293	750	900	1,197	1,116	1,210	1,727	1,786	1,432
Scheduled amortization ³	-137	-152	-169	-169	-192	-192	-223	-270	-274
Private capital (net)	350	949	1,875	1,693	1,664	1,437	1,019	942	724
Of which: foreign direct investment	1,665	2,167	2,223	2,242	2,459	2,530	2,373	2,384	2,086
Other private non-banking sector ⁴	-1,315	-1,217	-349	-549	-795	-1,093	-1,355	-1,442	-1,361
Balance before errors and omissions	-55	598	65	302	235	375	442	332	-164
Errors and omissions	1	29	0	0	0	0	0	0	0
Overall balance	-54	627	65	302	235	375	442	332	-164
Financing	55	-598	-65	-302	-234	-475	-542	-432	-411
Net change in non-IMF arrears	0	0	0	0	0	0	0	0	0
Net banking sector reserves (increase = -)	55	-598	-65	-302	-234	-475	-542	-432	-411
Central bank	162	-345	-50	-125	-58	-299	-365	-255	-234
Of which: Net IMF credit	156	0	0	0	-43	-89	-105	-105	-84
Commercial banks	-107	-253	-15	-177	-177	-177	-177	-177	-177
Financing need before exceptional assistance	0	0	0	0	0	-100	-100	-99	-575
Residual financing need (overfinancing = +)	0	0	0	0	0	-100	-100	-99	-575
Of which: fiscal	0	0	0	0	0	-100	-100	-99	-575
	(Percent of GDP, unless otherwise indicated)								
Memorandum items:									
Debt service after debt relief (percent of exports of goods and services)	1.5	1.9	1.8	1.5	2.3	2.3	2.3	1.8	1.5
Current account balance (including official transfers)	-5.9	-8.0	-10.1	-9.3	-8.8	-7.8	-7.4	-7.1	-6.4
Current account balance (excluding official transfers)	-9.3	-10.9	-15.4	-14.0	-12.9	-12.0	-11.5	-11.1	-10.3
Gross official reserves (millions of U.S. dollars)	1,300	1,645	1,695	1,905	1,955	2,165	2,425	2,575	2,725
Weeks of non-aid-related imports of goods and services	7.7	7.7	7.7	8.4	8.1	8.6	8.8	8.5	8.3

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ Two reclassifications were introduced in 2013. First, repatriation of profits by international companies operating in the natural resources sector passed from the financial account (other private non-banking sector) to the current account (expenditure under the income balance). Second, a larger part of official grants were registered under the current account (current transfers) for aid covering recurrent expenditures that was previously registered under the capital account (official).

² Including interest due to the IMF.

³ Excluding principal repayments to the IMF.

⁴ Including unrecorded transactions. The latter may be substantial given weaknesses in statistics.

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Table 5. Democratic Republic of the Congo: Alternative Scenario: Selected Economic and Financial Indicators, 2011–19

	2011	2012	2013	2014	2015	2016	2017	2018	2019
			Est.				Proj.		
(Annual percentage change; unless otherwise indicated)									
GDP and prices									
Real GDP	6.9	7.2	8.5	8.8	9.5	10.4	10.0	8.7	8.0
GDP deflator ¹	10.3	7.5	0.7	1.4	3.8	5.8	6.6	7.2	6.8
Consumer prices, period average ¹	15.5	2.1	0.8	2.5	4.5	5.3	5.8	6.0	6.0
Consumer prices, end-of-period ¹	15.4	2.7	1.0	4.0	5.0	5.5	6.0	6.0	6.0
External sector									
Exports, f.o.b. (U.S. dollars)	19.9	-13.7	16.6	16.7	13.0	13.0	12.6	8.5	9.8
Imports, f.o.b. (U.S. dollars)	23.8	-7.0	16.3	5.2	6.4	10.1	6.4	8.7	6.5
Export volume	19.6	-1.7	25.0	7.7	12.9	12.6	11.9	7.8	9.1
Import volume	5.0	-7.8	15.4	8.8	8.1	10.4	6.3	8.4	6.1
Terms of trade	-11.8	-11.5	-7.2	12.4	2.0	1.0	0.5	0.4	0.3
(Annual change in percent of beginning-of-period broad money; unless otherwise indicated)									
Money and credit									
Broad money	23.2	21.1	18.1	16.1	21.7	...	...	...	...
Net foreign assets	-3.7	22.9	2.3	10.9	12.3	...	...	...	...
Net domestic assets	25.9	-1.9	15.7	5.4	9.6	...	...	...	...
Domestic credit	19.2	-4.6	14.5	9.4	10.0	...	...	...	...
Of which:									
Net credit to government (annual percent change)	11.7	-18.9	3.6	-0.2	0.3	...	...	...	...
Credit to the private sector (annual percent change)	16.7	25.6	26.5	21.9	20.9	...	...	...	...
(Percent of GDP; unless otherwise indicated)									
Central government finance									
Revenue and Grants	18.0	20.1	17.4	17.4	18.9	19.7	21.6	22.3	23.0
Revenue	12.4	14.9	13.0	13.9	14.8	15.3	17.4	18.5	19.5
Grants	5.6	5.2	4.4	3.5	4.1	4.4	4.2	3.8	3.5
Expenditure	19.1	19.5	19.1	19.6	20.2	21.4	24.1	25.2	25.4
Domestic fiscal balance (cash basis)	-1.1	1.2	0.2	0.5	1.1	0.6	0.6	0.1	-0.5
Net borrowing/lending (overall balance, incl grants)	-1.2	0.6	-1.7	-2.2	-1.3	-1.7	-2.5	-2.9	-2.5
Investment and saving									
Gross national saving	10.5	12.3	11.2	12.4	14.6	17.9	21.1	23.2	24.4
Government	1.1	3.7	2.9	3.3	4.5	4.8	6.6	7.3	7.9
Nongovernment ²	9.4	8.5	8.3	9.1	10.2	13.0	14.4	15.9	16.5
Investment	16.5	20.3	21.3	21.8	23.7	25.4	28.3	29.3	29.2
Government	4.4	6.1	6.4	6.2	6.7	7.3	8.8	8.9	8.1
Nongovernment	12.1	14.2	14.9	15.5	17.0	18.1	19.5	20.4	21.1
Balance of payments									
Exports of goods and services	45.5	34.1	36.4	39.2	40.2	40.7	40.9	40.0	40.0
Imports of goods and services	50.3	40.0	42.5	41.1	39.6	38.8	36.9	36.2	35.1
Current account balance, incl. transfers	-5.9	-8.0	-10.1	-9.3	-8.9	-7.5	-7.2	-6.2	-4.9
Current account balance, excl. transfers	-9.3	-10.9	-15.4	-14.0	-13.0	-11.5	-11.1	-9.9	-8.3
Gross official reserves (end-of-period, millions of U.S. dollars)	1300	1645	1695	1905	2145	2435	2785	3225	3725
Gross official reserves (weeks of non-aid-related imports of goods and services)	7.7	7.7	7.7	8.4	8.8	9.7	10.1	10.6	11.3
(Millions of U.S. dollars; unless otherwise indicated)									
External public debt									
Total stock, including IMF	4,629	4,662	5,196	6,055	7,096	8,012	9,495	10,953	12,128
Present value (PV) of debt ³	4,763	5,354	3,205	3,918	4,504	5,139	6,058	7,063	7,805
PV of debt (percent of exports of goods and services)	43.5	57.0	29.5	31.1	31.9	32.3	33.9	36.4	36.6
Scheduled debt service	160.0	181.7	194.6	189.3	330.0	366.5	403.1	341.3	317.3
Percent of exports of goods and services	1.5	1.9	1.8	1.5	2.3	2.3	2.2	1.7	1.5
Percent of government revenue	5.4	4.4	5.0	4.2	6.2	6.0	5.2	3.7	3.0
Exchange rate, (CGF per U.S. dollar)									
Period average	918	919	919	...	...	...	...	...	...
End-of-period	911	915	926	...	...	...	...	...	...
Memorandum item:									
Nominal GDP (CGF billions) ¹	21,913	25,250	27,596	30,443	34,617	40,423	47,397	55,240	63,704

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ Starting in 2012 CPI numbers are calculated by INS using a revised methodology. The CPI for 2012 according to the previous methodology amounted to 5.7 percent (eop) and 9.3 (average).

² The projections for 2011 and beyond account for mining companies profit outflows.

³ Projections are based on calculations under the 2010 HIPC Debt Sustainability Analysis (EBS/10/121, 06/16/2010). Includes assistance beyond the terms of the enhanced HIPC Initiative granted by some Paris Club creditors. Exports are a trailing three-year moving average.

Table 6. Democratic Republic of the Congo: Risk Assessment Matrix (RAM)¹

Source of Risks	Relative Likelihood	Expected Impact on Economy	Staff Advice on Policy Responses
External Risks			
Significant slowdown in growth in China in 2014.	Low	Deterioration of the current account deficit as export earnings decline, lower direct investment in the natural resource sector, as well as lower accumulation of international reserves.	Increase international reserves with a flexible exchange rate to provide more robust buffers against external shocks. Increase fiscal space to become less reliable from fiscal revenues from the mining sector.
Heightened geopolitical risks in the Middle East (sharp rise in oil prices).	Low	As an exporter of crude oil, DRC would benefit, but import bill of refined products would increase and in the absence of price adjustments at the pump, revenue would decline.	Adjust domestic petroleum prices to stem decline in fiscal revenues or eliminate petroleum subsidies.
Sustained decline in the commodity prices.	Medium	Sustained lower fiscal revenues and exports earnings leading to lower spending in priority sectors and investment and slower poverty reduction.	Increase domestic non-natural resources mobilization to lessen dependence on fiscal revenues from the mining sector (paragraph 16).
Domestic Risks			
Escalation of armed conflict.	Medium	Collapse in economic activities in war affected areas and severe strain on public finance (similar effect as in commodity price shock (paragraph 14).	Increase international reserves with a flexible exchange rate to provide more robust buffers against external shocks. Increase fiscal space to become less reliable from fiscal revenues from the mining sector.
Lack of progress in structural reforms at the BCC.	High	Loss of credibility to defend low inflation and further increase in dollarization.	Accelerate key structural reforms, in particular the recapitalization of the BCC and financial independence for the conduct of monetary policy (paragraph 16).
Lack of progress in the management and transparency of mineral resources.	Medium	Significant forgone fiscal revenues, further decline in foreign aid, deterioration in the business environment, and lack of progress in poverty reduction and public investments.	Extended transparency and good governance in the mineral resources sector to SOEs. Implement TA-supported revenue forecasting methods.
¹ The Risk Assessment Matrix (RAM) shows events that could materially alter the baseline path (the scenario most likely to materialize in the view of IMF staff). The relative likelihood of risks listed is the staff's subjective assessment of the risks surrounding the baseline ("low" is meant to indicate a probability below 10 percent, "medium" a probability between 10 and 30 percent, and "high" a probability of 30 percent or more). The RAM reflects staff views on the source of risks and overall level of concern as of the time of discussions with the authorities. Non-mutually exclusive risks may interact and materialize jointly.			

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Table 7. Democratic Republic of the Congo: Principal FSAP Recommendations

Recommendations	Priority ¹
Financial stability, supervision, and crisis management	
Complete the cleaning up of the BCC's balance sheet and its recapitalization.	Short-term Comment: A progress report on streamlining the BCC operating costs is due by end-May.
Adopt the new banking law, and the central bank law to reinforce the BCC's independence, responsibilities, and its transparency.	Short-term Comment: The drafts are already at the Ministry of Finance level. The Banking Law is expected to be approved in the coming months.
Strengthen the BCC's validation and analysis of data.	Short-term Comment: Continuous measure that is to start immediately and progress over time.
Establish a legal framework and operational mechanism for crisis prevention, preparation, and management.	Medium-term Comment: Preparatory work could start in the coming months.
Strengthen the legal and regulatory framework for bank intervention and liquidation, as well as the crisis management framework.	Medium-term Comment: Preparatory work could start in the coming months.
Introduce effective risk-based supervision.	Medium-term Comment: Continuous measure with preparatory work starting in the coming months but progress will require time.
Strengthen regulations on provisioning and classification of nonperforming loans.	Short-term Comment: Work is in progress.
De-dollarization	
Adopt a medium-term roadmap for de-dollarization, with realistic timelines, prioritizations of measures and that takes into account the risks of de-dollarization.	Medium-term Comment: The pre-conditions for de-dollarization need to be in place. The plan needs to be realistic, have medium-term targets and prioritize.
Financial inclusion	
Adopt a revised law on leasing.	Medium-term.
Strengthen supervision of microfinance and provide for the liquidation of institutions that are not viable	Medium-term Comment: The World Bank 6-year project on financial infrastructure and markets signed on April 2014 covers this aspect.
Adoption of a restructuring (or liquidation) plan of the CADECO based on minimization of risks and fiscal costs.	Short-term.
Financial infrastructure	
Review and adopt the draft law on payment systems.	Short-term.
Make the new credit registry operational.	Short-term.
Amend the law on commercial courts, adapting it to OHADA.	Medium-term.
Non-banking financial institutions	
Promulgate an upgraded insurance code to strengthen governance and the powers of the supervisor.	Medium-term Comment: The liberalization of the sector is un process and should materialize in the coming weeks.
1. Source: FSAP report.	

Table 8. Democratic Republic of the Congo: Millennium Development Goals

	1990	1995	2000	2005	2012
Goal 1: Eradicate extreme poverty and hunger					
Employment to population ratio, 15+, total (%) (modeled ILO estimate)	66.0	67.0	67.0	67.0	67.0
Employment to population ratio, ages 15-24, total (%) (modeled ILO estimate)	40.0	40.0	40.0	40.0	40.0
GDP per person employed (constant 1990 PPP \$)	1455.0	830.0	605.0	642.0	766.0
Income share held by lowest 20%	..	..	..	5.0	..
Malnutrition prevalence, weight for age (% of children under 5)	..	31.0	34.0	28.0	24.0
Poverty gap at \$1.25 a day (PPP) (%)	..	..	..	53.0	..
Poverty headcount ratio at \$1.25 a day (PPP) (% of population)	..	..	..	88.0	..
Vulnerable employment, total (% of total employment)	..	..	..	..	..
Goal 2: Achieve universal primary education					
Literacy rate, youth female (% of females ages 15-24)	..	..	63.0	53.0	..
Literacy rate, youth male (% of males ages 15-24)	..	..	78.0	79.0	..
Persistence to last grade of primary, total (% of cohort)	55.0	50.0	..	76.0	71.0
Primary completion rate, total (% of relevant age group)	52.0	47.0	35.0	55.0	73.0
Adjusted net enrollment rate, primary (% of primary school age children)	61.0	67.0	36.0	..	..
Goal 3: Promote gender equality and empower women					
Proportion of seats held by women in national parliaments (%)	5.0	..	..	12.0	9.0
Ratio of female to male primary enrollment (%)	71.0	69.0	91.0	81.0	88.0
Ratio of female to male secondary enrollment (%)	48.0	61.0	..	53.0	59.0
Ratio of female to male tertiary enrollment (%)	..	..	..	35.0	55.0
Share of women employed in the nonagricultural sector (% of total nonagricultural employment)	25.9	..	..	..	..
Goal 4: Reduce child mortality					
Immunization, measles (% of children ages 12-23 months)	38.0	27.0	46.0	61.0	73.0
Mortality rate, infant (per 1,000 live births)	112.0	112.0	112.0	112.0	100.0
Mortality rate, under-5 (per 1,000 live births)	171.0	171.0	171.0	171.0	146.0
Goal 5: Improve maternal health					
Adolescent fertility rate (births per 1,000 women ages 15-19)	137.0	134.0	131.0	131.0	135.0
Births attended by skilled health staff (% of total)	..	..	61.0	74.0	80.0
Contraceptive prevalence (% of women ages 15-49)	8.0	..	31.0	21.0	17.0
Maternal mortality ratio (modeled estimate, per 100,000 live births)	930.0	870.0	770.0	660.0	540.0
Pregnant women receiving prenatal care (%)	..	..	68.0	85.0	89.0
Unmet need for contraception (% of married women ages 15-49)	..	..	..	27.0	..
Goal 6: Combat HIV/AIDS, malaria, and other diseases					
Children with fever receiving antimalarial drugs (% of children under age 5 with fever)	..	..	52.0	30.0	39.0
Condom use, population ages 15-24, female (% of females ages 15-24)	..	..	..	7.0	..
Condom use, population ages 15-24, male (% of males ages 15-24)	..	..	..	20.0	..
Incidence of tuberculosis (per 100,000 people)	327	327	327	327	327
Prevalence of HIV, female (% ages 15-24)	..	..	..	..	0.8
Prevalence of HIV, male (% ages 15-24)	..	..	..	..	0.4
Prevalence of HIV, total (% of population ages 15-49)	1.3	1.4	1.5	1.4	1.1
Tuberculosis case detection rate (% , all forms)	19.0	31.0	40.0	55.0	51.0
Goal 7: Ensure environmental sustainability					
CO2 emissions (kg per PPP \$ of GDP)	0.0	0.0	0.0	0.0	0.0
CO2 emissions (metric tons per capita)	0.0	0.0	0.0	0.0	0.0
Forest area (% of land area)	70.7	70.0	69.4	68.7	67.9
Improved sanitation facilities (% of population with access)	17.0	19.0	23.0	26.0	31.0
Improved water source (% of population with access)	43.0	43.0	44.0	45.0	46.0
Marine protected areas (% of territorial waters)	17.0	4.0	23.0	4.0	29.0
Goal 8: Develop a global partnership for development					
Net ODA received per capita (current US\$)	26.0	5.0	4.0	35.0	44.0
Debt service (PPG and IMF only, % of exports of goods, services and primary income)	..	..	3.0	15.0	2.0
Internet users (per 100 people)	0.0	0.0	0.0	0.2	1.7
Mobile cellular subscriptions (per 100 people)	0.0	0.0	0.0	5.0	31.0
Telephone lines (per 100 people)	0.0	0.0	0.0	0.0	0.0
Other					
Fertility rate, total (births per woman)	7	7	7	7	6
GNI per capita, Atlas method (current US\$)	240	140	90	130	230
GNI, Atlas method (current US\$) (billions)	8.4	6	4.2	6.9	15.4
Gross capital formation (% of GDP)	9.1	9.4	1.4	20.3	26.5
Life expectancy at birth, total (years)	47	46	46	48	50
Literacy rate, adult total (% of people ages 15 and above)	..	..	67	61	..
Population (Total) (billions)	0.0	0.0	0.0	0.1	0.1
Trade (% of GDP)	58.7	52.2	43	78.8	122.8

Source: World Bank, *World Development Indicators*.

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Table 9. Democratic Republic of the Congo: Financial Soundness Indicators, 2010–13

	2010	2011	2012	2013
Capital adequacy				
Regulatory capital to risk-weighted assets	28.8	29.7	28.3	24.5
Regulatory Tier I capital to risk-weighted assets	21.1	21.2	19.9	17.0
Asset quality				
NPLs to gross loans	6.6	6.7	6.3	7.2
NPLs net of provision to capital	10.0	10.0	8.3	7.0
Earnings and profitability				
Return on assets	0.7	0.6	0.2	0.9
Return on equity	3.0	3.0	6.2	5.1
Interest margin to gross income ¹	26.0	32.0	31.0	33.0
Non-interest expenses to gross income	73.7	73.5	73.1	73.9
Liquidity				
Liquid assets to total assets (liquid asset ratio)	60.0	52.0	...	...
Liquid assets to short-term liabilities	123.0	119.2	121.3	122.0
Sensitivity to market risk				
Net open in foreign exchange position to capital	-5.0	1.8	5.2	-16.0
Foreign currency-denominated liabilities to total liabilities	76.2	77.4	...	...
<i>Memorandum items :</i>				
Capital adequacy				
SSA	19.4	20.9	...	...
Fragile countries	24.3	34.7	...	...
Return on assets				
SSA	2.2	2.2	...	...
Fragile countries	1.7	1.0	...	...
NPLs to total gross loans				
SSA	9.8	8.4	...	...
Fragile countries	10.4	12.8	...	...

Source: Central Bank of the Congo, Directory of Bank Supervision.

Note: Prudential norms were altered throughout the observation period. Application 3 covered 2003 to 2009; application 4, 2010; and application 5, since 2011.

¹Since 2009 the definition of interest margin to gross income has been made consistent with the IMF reference manual whereby interest earnings, commissions, and other earnings are reported separately.

Appendix I. External Sustainability Assessment

This note assesses external stability in the Democratic Republic of the Congo (DRC) and concludes that developments in the balance of payments position are consistent with external stability. While the DRC recorded continuously current account (CA) deficits over the past decade, these were financed mainly by private inflows, especially foreign direct investments (FDI) and the real effective exchange rate (REER) is broadly in line with the DRC's macroeconomic fundamentals.¹ However, the level of international reserves is insufficient to buffer the economy against external shocks and factor's beyond the level of the REER play a prominent role. The DRC's competitiveness suffers from institutional constraints, lack of infrastructure and electricity, and a weak business environment.

A. Balance of payments

1. **Over the past decade, the DRC recorded continuous CA deficits financed by both private and official flows** (Table I.1.). Since 2007 CA deficits averaged about 6 percent of GDP and, in 2013, it represented 10.1 percent of GDP. The CA deficit is expected to start narrowing in 2014 to 9.3 percent of GDP and to an average of 6.2 percent of GDP for the period 2015–33 due to the strong growth of mining exports in the medium term and to development of the agricultural sector on the medium-long term.

Table I.1. Democratic Republic of the Congo: Balance of Payments, 2007–14								
	2007	2008	2009	2010	2011	2012	2013 Est.	2014 Proj.
	(Percent of GDP)							
Current account balance (including grants)	-0.7	-10.6	-7.8	-4.9	-5.9	-8.0	-10.1	-9.3
Current account balance (excluding grants)	-5.2	-15.0	-13.6	-8.8	-9.3	-10.9	-15.4	-14.0
Capital and Financial account	-1.3	5.7	0.5	8.1	5.7	10.2	10.3	10.2
Private Flows	0.8	7.3	3.0	2.0	1.8	5.2	7.7	7.2
Official Flows	-2.1	-1.6	-2.6	6.1	3.9	5.1	2.7	3.0
Errors and omissions	-1.8	0.6	2.2	-0.2	0.0	0.1	0.0	0.0
Overall balance	-3.8	-4.3	-5.1	3.0	-0.2	2.3	0.2	0.9

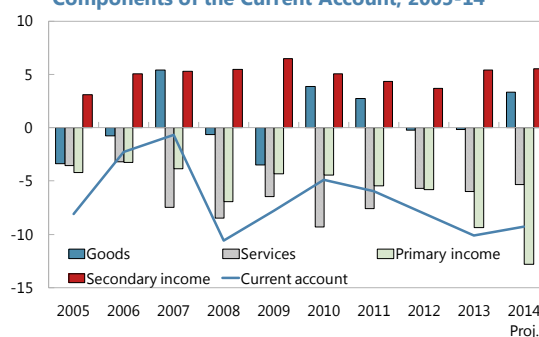
Sources: Congolese authorities; and IMF staff estimates.

¹ The REER assessment should be interpreted with much caution given the data limitation and the high dollarization of the economy, but the REER is deemed to be broadly in line with the fundamentals.

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2. **The trade balance has been positive since 2009 but the DRC remains a net importer of services** (Figure I.1.). Moreover, the repatriation of profits by international companies operating in the natural resources sector lead to a strongly negative primary income balance (but an improvement of the financial account balance).²

Figure I.1. Democratic Republic of the Congo: Components of the Current Account, 2005-14



Sources: Congolese authorities; and IMF staff calculations.

3. **The CA deficits have been mainly and increasingly financed by FDI especially in the natural resources sector.** Net FDI represented 7.4 percent of GDP in 2013 and are expected to reach 6.9 percent in 2014 (Figure I.2.). They are expected to decrease thereafter over the medium term.

Figure I.2. Democratic Republic of the Congo: Net FDI, 2002-14
(Percent of GDP)

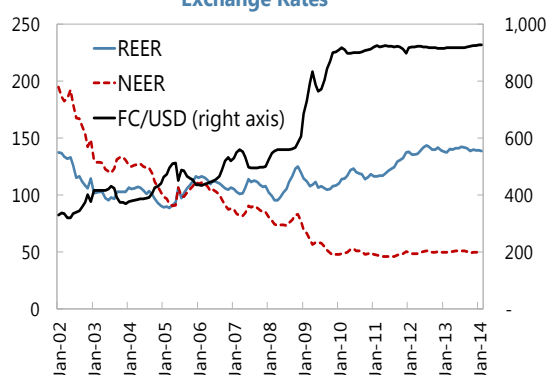


Sources: Congolese authorities; and IMF staff estimates.

B. Exchange rate

4. **The REER appreciated over the past several years while the NEER slightly depreciated** (Figure I.3.). Since 2012, both exchange rates remained stable and the Consultative Group on Exchange rate (CGER) methodologies suggest that the REER level is broadly in line with the DRC's macroeconomic fundamentals.

Figure I.3. Democratic Republic of the Congo: Exchange Rates



Sources: Congolese authorities; and IMF staff calculations.

² Note, some repatriated benefit were previously recorded in the financial account under portfolio investments and have now been reclassified to be considered expenditures under the income balance in the current account.

5. **The two approaches of the CGER methodology used to evaluate the REER indicate no major misalignment.** The results for the macroeconomic balance approach and the external sustainability approach are summarized in Table I.2., but should be interpreted cautiously due to data limitations.³ Both the macroeconomic balance and the external stability balance approaches calculate the exchange rate misalignment as a percent change in the real exchange rate that is needed to close the gap between a CA norm and the underlying CA i.e., the CA balance projected over the medium term.

Table I.2. Democratic Republic of the Congo: Exchange Rate Misalignment¹

Method	
Macro Balance	
Tokarick elasticity	0.4
CGER elasticity	1.0
External Sustainability	
Tokarick elasticity	0.3
CGER elasticity	0.7
Average	0.6

Source: IMF staff calculations.

¹ Positive numbers signify overvaluation.

6. **The macroeconomic balance approach indicates a slight overvaluation of the REER.** Under this approach the CA norm is estimated through the projected values of medium-term fundamentals. This norm is estimated to lie between -6.6 and -7.0 percent of GDP based on coefficients estimated by Vitek⁴ (2013). Assuming an elasticity of the trade balance with respect to the real exchange rate of 0.71 as calculated by Tokarick⁵ (2010) for the DRC, the difference between the underlying CA and the CA norm indicates an REER misalignment between 0.7 and 0.0 percent of GDP. A use of the CGER elasticity of the CA would imply an REER misalignment between 1.8 and 0.1 percent of GDP.

7. **The external balance approach also suggests a slight overvaluation of the real exchange rate.** Under this approach, the CA norm is defined as the balance that would stabilize net foreign assets (NFA). The exchange rate misalignment is then equal to the adjustment necessary to bring the underlying CA to a level stabilizing the NFA. The CA balance necessary to stabilize the DRC's NFA-to-GDP ratio at its 2017 level (-62 percent) is estimated to be -6.9 percent compared

³ For instance, the result for the REER methodology is not displayed due to the lack of data on the DRC's productivity, one of the main explicative variables in the model. More generally the quality of DRC data on external sector is very poor.

⁴ Francis Vitek, 2013, "Exchange Rate Assessment Tools for Advanced, Emerging and Developing Economies."

⁵ Tokarick, Stephen, 2010, "A Method for Calculating Export Supply and Import Demand Elasticities", IMF Working paper WP/10/180.

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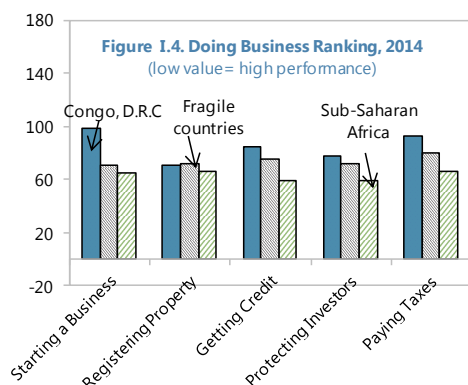
with an underlying CA of -7.1 percent. Using Tokarick's trade balance elasticity of 0.71 implies an overvaluation of 0.3 percent (0.7 percent with the CGER's elasticity).

C. Structural competitiveness

8. While the real exchange rate appears to be broadly in line with fundamentals, it is not the main determinant of the DRC competitiveness considering the high level of dollarization of the economy. In 2013, mining and oil exports accounted for 97 percent of the total value of good exports and are denominated in dollars.

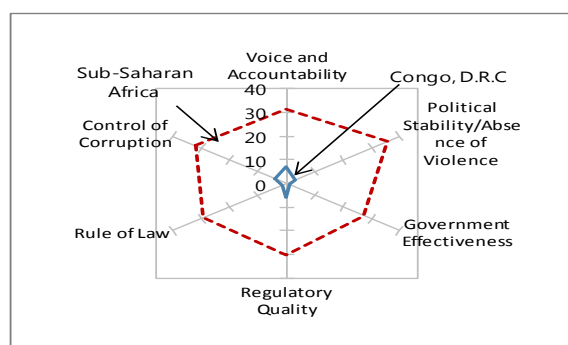
9. **The DRC's competitiveness depends actually critically on improving the business environment.** The country continues to rank near the bottom of the ease of doing business according to the 2014 edition of the World Bank report "Doing Business" because of administrative complexities, inefficient and distorted tax policy and a low access to credit (Figures I.5. and I.6.).⁶ The absence of credit information and a weak judiciary limit the capacity of the banking system to extend credit to the economy.

Figure I.5. Democratic Republic of the Congo: Doing Business Ranking, 2014
(low value=high performance)



Source: World Bank, *Doing Business*, 2014.

Figure I.6. Democratic Republic of the Congo: Governance Indicators

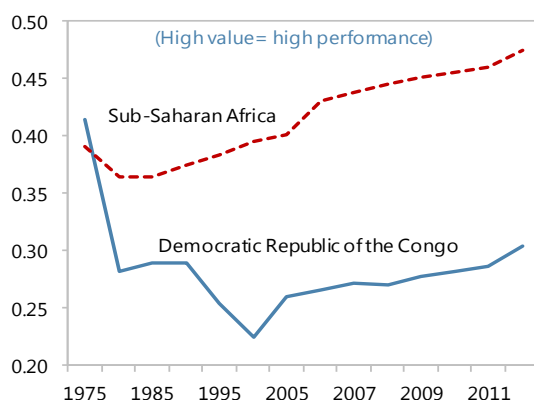


Source: World Bank, *Worldwide Governance Indicators*.

⁶As pointed out in an independent evaluation of the Doing Business survey (see www.worldbank.org/ieg/doingbusiness), care should be exercised when interpreting these indicators given subjective interpretation, limited coverage of business constraints, and a small number of informants, which tend to overstate the indicators' coverage and explanatory power.

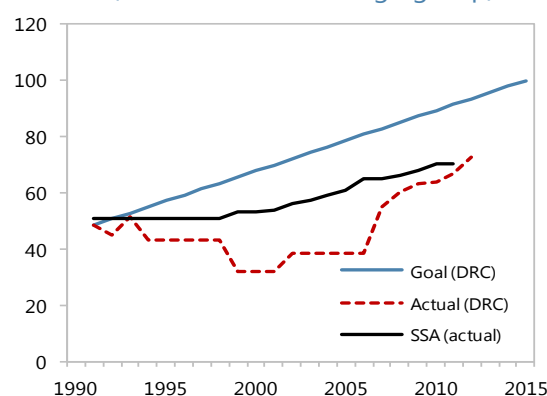
10. **The lack of reliable electricity supply, transportation networks, social services and a low level of human capital are also significant impediments to the development of the export sector (Figures I.7. and I.8.).**

Figure I.7. Democratic Republic of the Congo: Human Development Index



Source: UNDP, Human Development Report.

Figure I.8. Democratic Republic of the Congo: Primary School Completion Rate, Total (Percent of relevant age group)



Source: World Bank, Millennium Development Goals.

D. Reserve adequacy

11. **The level international reserves held by the DRC appear to be insufficient to cushion the effect of external shocks.** As a large natural resources exporter,⁷ the DRC should hold above-average levels of international reserves as demonstrated by the April 2012 Regional Economic Outlook for sub-Saharan Africa (IMF). The study suggests that the adverse domestic impact of external shocks is larger in resources exporters than elsewhere, and confirms the effectiveness of reserves in mitigating the domestic effect of external shocks. But reserve holding comes at a cost in terms of foregoing the higher rates of return that could be obtained via alternative investments.

12. **Using the Fund's reserve adequacy template for resource-exporting low income countries, staff estimates that the DRC should hold gross reserves equivalent to at least 5.7 months of imports for a cost of holding reserves of 6 percent⁸ (11.1 months for 3 percent), against an actual 1.8 months (Figures I.9. and I.10.).** This estimate is based on 2013 data and applying an unconditional probability of shock. The methodology balances the risk-reducing effects

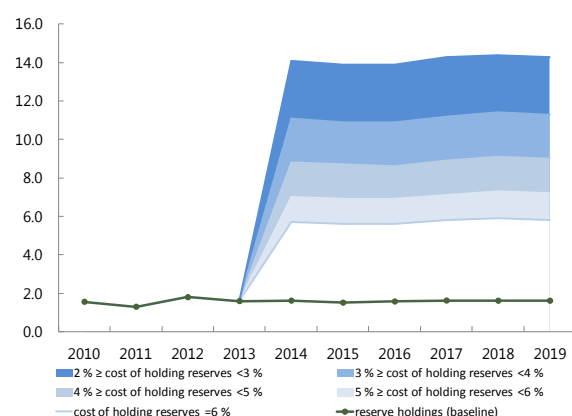
⁷ In the DRC, ninety-six percent of exports come from the extractive industries, mainly copper, cobalt, diamonds, gold and oil.

⁸ The reserve coverage should represent up to 10.2 months of next year imports for a cost of holding reserves of 2 percent.

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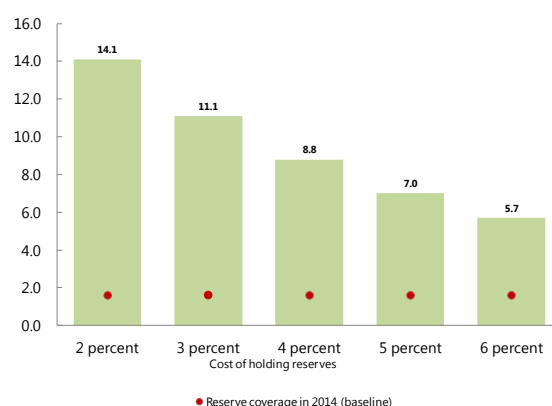
of reserves against their carrying costs. It estimates both the likelihood and the scale of a drop in domestic demand in a country and compares the benefits of holding additional reserves (which helps containing demand declines) with the costs of holding additional reserves (revenues foregone by investing in liquid and thus lower yielding foreign assets).

Figure I.9. Democratic Republic of the Congo: Reserve Coverage 2010–19
(months of next year imports)



Sources: Congolese authorities; and IMF staff estimates.

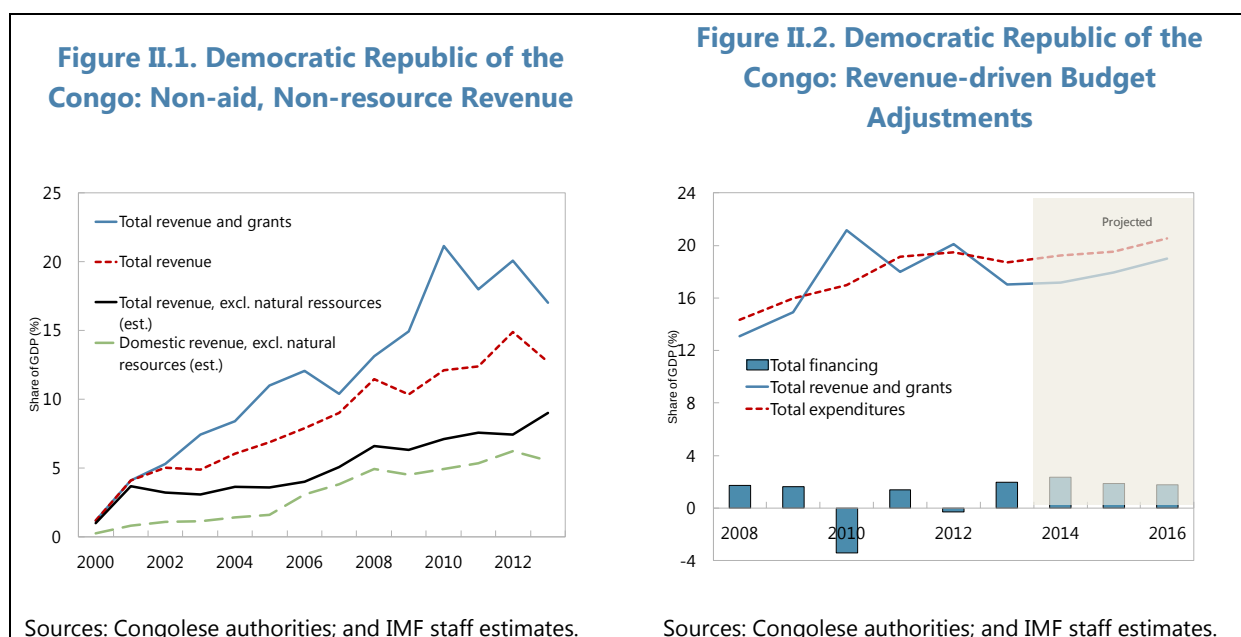
Figure I.10. Democratic Republic of the Congo: Optimal Level of Reserves
(2014; months of next year imports)



Sources: Congolese authorities; and IMF staff estimates.

Appendix II. Creating Fiscal Space to Sustain Macroeconomic Stability and Promote Inclusive Growth

1. **A tight fiscal policy stance has been the anchor of the DRC's disinflation strategy and instrumental in achieving macroeconomic stability.** The government's policy has essentially consisted in adjusting expenditure to available revenues. However, the variability and unpredictability of external financing and of revenue linked to natural resources (Figure II.1), coupled with a lack of control over revenues from the non-resource sector have put the burden of adjustment to achieve a balance budget on expenditures (Figure II.2.). Given the country's large needs for infrastructure and social spending (e.g., education and health), this situation has created an unwanted tradeoff between current macroeconomic stability and future growth that could be addressed by mobilizing more revenues and by improving the efficiency of spending through vigorous reforms in public financial management (PFM).

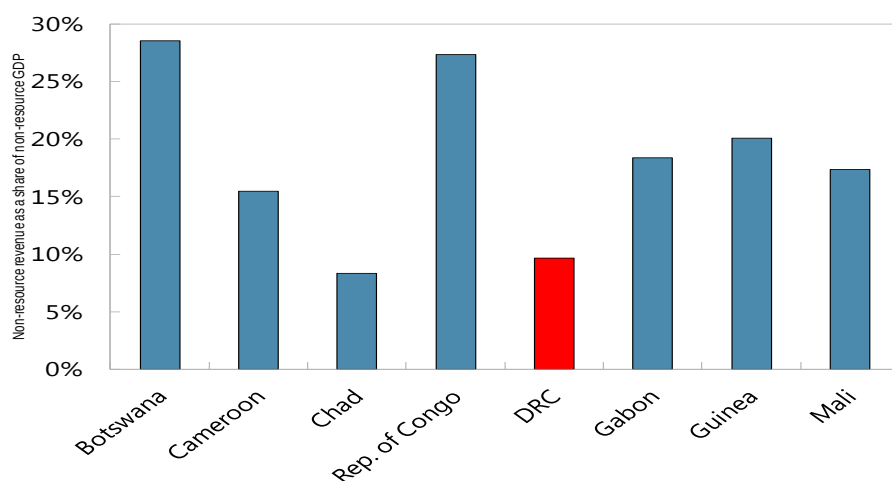


2. **There is a vast potential to broaden the tax base.** With non-resource, non-aid revenues at less than 10 percent of non-resource GDP, the DRC is clearly constrained in its ability to finance the needed investments in education, health, and basic infrastructure necessary to reduce poverty and diversify its economy. This ratio also ranks the DRC among the weakest performers compared to other sub-Saharan African countries (Figure II.3.). Based on a study of the DRC's tax potential, staff estimates that the DRC could increase its overall revenue-to-GDP ratio by more than 7 percentage points of GDP in the medium term (Box II.1.). The econometric results help prioritizing reforms. First, better understanding and fixing the recent VAT counter-performance should be given immediate

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priority, in order to secure past successes. Second, improving customs efficiency and control of borders can potentially bring significant benefits. Third, improving control of natural resources revenue (i.e., non-tax revenue) should be a priority.

Figure II.3. Democratic Republic of the Congo: Non-resource, Non-aid Revenue as a Share of Non-resource GDP



Sources: Congolese authorities; and IMF staff estimates.

3. **Mobilizing revenue of such magnitude, while realistic, will require a high-level commitment from the authorities.** Drastically streamlining the vast array of small taxes and fees (parafiscalité) that plague the business environment, simplifying the tax system and reducing tax exemptions have already started but remain long and challenging undertakings. Equally difficult will be the numerous improvements to revenue administration, which will require a well coordinated and resolute implementation:

- Reorganizing revenue collection agencies, possibly merging the *Direction générale des Impôts* (DGI) with the *Direction générale des recettes administratives, judiciaires, domaniales et des participations* (DGRAD);
- Pursuing taxpayers segmentation;
- Computerizing the DGI and linking its IT systems to those of Customs to facilitate audits;
- Strengthening VAT administration;
- Streamlining and formalizing customs processes and improving border controls;
- Reallocating personnel to productive tasks;
- Improving audit capacity, notably in the area of natural resources; and
- Supporting the extension of the tax net to all potential taxpayers.

4. **Specific measures to mobilize mining revenues would be important.** With 29 percent of non-aid revenue (3.7 percent of GDP), the natural resource sector (including oil) is by far the largest contributor to the national budget. Yet, the authorities' limited understanding of the sector's economic, financial and accounting *modus operandi* and the fact that some large mining operators generate less revenue than expected has triggered an effort to review mining taxation (e.g., higher royalty and introduction of a resource rent tax), and improve surveillance and audit capacity of the mining industry. Although these efforts represent important steps forward, the authorities will need to tread carefully to preserve recent growth, and lay the ground for more investments. This will include at least the following steps:

- Finalizing the ongoing negotiations of the mining code as quickly as possible, notably by fully leveraging new modeling capacity and establishing a common model with industry to support discussions;
- Preserving some stability for projects that have already started to produce, or whose investments plans are locked in, especially in the presence of a license-based regime;
- Improving transparency further (mining contracts are already public) by renewing the authorities' EITI commitment by addressing previously identified shortcomings and improving data transmission from mining operators; and
- Reinforcing the role of the Ministry of Mines in the governance of the sector and clarifying the role of the state-owned enterprise Gécamines as a mining operator.

5. **The impact of government spending on inclusive growth and poverty reduction could be increased by resolutely improving PFM.** The necessary decrees pertaining to the 2012 PFM law (*Loi sur les finances publiques*) needs to be adopted to accelerate its implementation. Other areas, including the medium-term budget framework, public investment management, decentralization (and related provincial PFM), budget tracking and execution, as well as management and planning of foreign-financed investments all require significant improvements (despite some noticeable successes). All these reforms require significant coordination and data sharing between numerous bodies (including foreign donors) and their slow progress is more a reflection of the organizational inefficiency of the DRC government rather than a lack of competence in any of the concerned agencies or ministries. Beyond technical issues, progress in the PFM thus hinges on the necessary political and administrative will.

6. **Delays in PFM reforms can also have a detrimental effect on revenue mobilization effort.** Low or delayed execution, notably for provincial transfers, is a strong incentive for recipient

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organizations to try meeting their spending needs by mobilizing their own revenue through various and possibly detrimental means, hence proliferating non-tax measures. Furthermore, difficulties implementing the revenue sharing formula for provinces (40 percent to the provinces) threatens the very cohesion of the country by increasing tensions between provinces and between Kinshasa and the provinces.

Box II.1. Democratic Republic of the Congo: Tax Potential – Some Preliminary Results

An international comparison can provide strong indications on the magnitude of the gap between existing and potential revenue collection. The literature points to a series of factors that are related to the share of government revenue in GDP. Income level, openness to international trade, public spending and debt, the presence of natural resources and access to oceans or sea should have a positive impact on revenue levels, whereas the importance of agriculture and international aid, should have a negative impact.

Staff performed preliminary regression analyses based on a panel dataset of sub-Saharan non-oil African countries over the period 1984–2009, in which six measures of revenue (total non aid, of which non-tax and tax revenue, and in the latter, income tax, sales tax, and international trade taxes) were alternatively regressed on income per capita, various variables expressed as a share of GDP (agricultural sector, imports, international aid, public investment, external debt), and dummy variables for the access to sea and the presence of natural resources. The difference between the predicted values and actual DRC values represented the revenue gap. Econometric results were overwhelmingly significant and the direction of the impact matched expectations.

A few key results detailed in Table II.1 are: (i) potential revenue and actual revenue for the DRC significantly increased over 1984–2013; (ii) the gap between potential and actual revenue narrowed after 2004; (iii) all types of revenue are below potential, except sales taxes; and (iv) proportionally larger gaps are noted for international trade taxes and non-tax revenue.

Table II.1. Democratic Republic of the Congo: Revenue Potential

	Total 1/		Tax 1/		Non-tax 1/		Income tax 1/		Sales tax 1/		Int'l trade taxes 1/	
	Act.	Pot.	Act.	Pot.	Act.	Pot.	Act.	Pot.	Act.	Pot.	Act.	Pot.
1984	2.9	17.8	2.9	12.9	...	...	0.9	5.5	...	...	2.0	2.7
1990	2.7	18.0	2.7	13.2	...	...	0.8	5.4	...	...	1.8	1.3
1995	1.4	11.1	1.3	8.6	0.1	4.1	0.4	3.2	...	...	0.9	2.4
2000	3.8	9.6	3.3	7.6	0.5	4.1	1.2	2.8	1.0	1.5	1.1	1.9
2005	11.4	16.0	8.8	11.3	2.6	4.8	3.7	4.3	2.6	2.3	2.6	3.6
2009	16.8	20.5	13.1	14.5	3.7	5.4	5.1	5.3	4.1	3.1	3.8	4.8
2013 /2	21.1	28.5	16.9	20.6	4.2	6.6	6.8	6.9	5.4	4.2	4.8	7.4
Gap in 2013	7.4		3.7		2.4		0.1		-1.2		2.6	

1/ All regressions are separate, so that total and subtotals by column are not consistent.

2/ Potential revenue for 2013 is calculated based on the 2004/2009 trend.

Appendix III. Promoting Financial Stability and Development

1. **The Congolese banking sector remains embryonic and relying on traditional banking functions.** The total financial system assets account for us\$3.8 billion, of which total bank assets are estimated at US\$3.6 billion (some 13 of GDP). Banking sector deposits are estimated at US\$2.6 billion (some 9 of GDP), also about 95 percent of the total financial system. The financial sector includes 246 institutions of which 18 are commercial banks and 143 are in the microfinance sector, 5 specialized institutions, and state-owned insurance company (SONAS) and the National Social Security Institute (INSS). The bancarization of the civil servants pay, launched at end-2011 and estimated at 70 percent of its potential by end-2013, increased the number of deposit accounts in banks and it is contributing, alongside with the reinforcement of the microfinance sector, to strengthen the much needed financial inclusion. Funding is mostly dominated by deposits of which about 90 percent are in sight accounts and USD-denominated. On the asset side, banks keep loans—most of which are also short term (so-called overdrafts to finance operating expenses) and in USD—and correspondent accounts abroad. Intermediation activities are almost non-existent.
2. **The financial soundness indicators (FSI) of DRC's banking system mask substantial fragilities.** Although the FSIs suggest a well capitalized banking system (Table 8) at levels above comparator economies these ratios mask important weaknesses. First, buffers (e.g., provisions, capital levels, and reserve requirements) are constituted in local currency (CGF) although banks' balance sheets are predominantly denominated in US dollar. Second, provisions are not calculated on the basis of risk profiles, but rather on the basis of recorded unpaid balances and only cover the unpaid amounts. Third, non-performing loans (on which provisions are calculated) are substantially underestimated due to the large segment of overdraft loans which do not have maturities (a phenomenon called "evergreening") and which are subjected to no or very low provisioning rates. Furthermore, banks' profitability levels and earnings are low due to high operational and foreign exchange transaction costs.
3. **There is a need to strengthen buffers to minimize the vulnerabilities of the financial sector.** The buildup of buffers not only in domestic currency but also in USD is needed as part of the strategy to de-dollarize the economy while preserving financial stability. In addition to the shortcomings of measured financial soundness, of supervision data and enforcement, staff's stress tests conducted under the Financial Sector Assessment Program (FSAP) revealed considerable vulnerabilities to the 2009 crisis-type of shocks (a commodity price plunge and the deterioration of fiscal revenues), and especially to liquidity shocks. Vulnerabilities also extend to the non-banking sector. The new increase of the minimum capital requirement for micro-finance institutions that staff

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commended should help consolidate the rapidly growing sector and strengthen its financial soundness and governance weaknesses.

4. **There is significant scope for improvements on the supervisory approach, process, and practices.** Banks monitoring requires the adoption of a forward-looking analysis of their risk profile, based on a methodology that looks at understanding banks' characteristics, businesses and vulnerabilities associated. The current supervisory approach of the Central Bank is largely relying on a series of checks on compliance with laws and regulations rather than a risk assessment approach. Furthermore, the implementation of the current regulatory framework needs to be applied on a more systematic and rigorous fashion to prove effective and the coordination between on-site and off-site supervision as well as licensing functions need to be further reinforced. Staff urges the BCC to reinforce existing supervisory capacity as the current technical expertise is insufficient.

5. **The framework for crisis management, recovery, and resolution needs to be clarified and reinforced.** The toolkit for crisis management and bank resolution requires regulatory and operational arrangements that facilitate official financial support to banks (emergency liquidity assistance and solvency support), prompt corrective actions for banks in non-compliance with prudential norms, a mechanism for orderly liquidation of failed banks, and, once potential moral hazard risks are minimized, a well-designed deposit guarantee scheme protecting small local currency-denominated deposits.



INTERNATIONAL MONETARY FUND



Appendix IV. Draft Press Release

Press Release No. 14/xx
FOR IMMEDIATE RELEASE
June 9, 2014

International Monetary Fund
700 19th Street, NW
Washington, D. C. 20431 USA

IMF Executive Board Concludes 2014 Article IV Consultation with the Democratic Republic of the Congo

On June 9, 2014, the Executive Board of the International Monetary Fund (IMF) concluded the Article IV consultation ¹ with the Democratic Republic of the Congo.

The Democratic Republic of Congo (DRC) has continued to post strong economic growth rates in the recent years (7 percent on average for 2010–12) despite the difficult domestic security situation. Mineral production and related investments have become the main drivers of the robust growth, although economic activity is strengthening in other areas such as the agricultural sector resulting into a real gross domestic product (GDP) growth rate of 7.5 percent in 2013. Fiscal restraint and the absence of major external price shocks helped to further reduce inflation to a record low of 1 percent at end-2013. Higher mining exports and sustained inward foreign investment contributed to an overall balance of payments surplus. However, gross international reserves increase in 2013 was only sufficient to keep the reserve coverage at 7.7 weeks of non aid related imports of goods and services, which remains low although the exchange rate remained remarkably stable since 2010.

Notwithstanding the strong economic growth, poverty remains pervasive and the economy vulnerable. Limited fiscal space and shocks to revenues often offset by expenditure adjustments have not supported pro-poor and critical investment spending necessary for inclusive growth, giving rise to mounting social demands to share in the benefits of the accelerating growth.

Progress in structural reforms was mixed. The government implemented important reforms aimed at de-dollarizing the economy, deepening financial markets and improving public finance management (PFM). The Central Bank of Congo (BCC) successfully initiated the introduction of new denominations of the Congolese Franc and the government expanded public salary payments through banks for

¹ Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board.

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most civil servants. Reforms in PFM also progressed with improvements in the expenditure chain and a reduction of the expenditure float. In contrast, structural reforms to further the independence of the BCC, including through its recapitalization, and to improve transparency and governance of state-owned enterprises (SOEs) in the mining sector largely stalled.

Medium-term economic growth prospects remain favorable. The economy is projected to grow at 8.7 percent in 2014 and on average 7.5 percent during 2015–18. The mining sector is expected to remain the main driver of growth, including with the investment phase of the Sino-Congolese joint venture (Sicomines) accelerating. Inflation is projected at 4 percent in 2014, which appears achievable in light of current low inflation, the BCC sterilizing any excessive liquidity and in the absence of foreign price shocks. A drop in the international prices of the DRC's main mineral exports export represent the main risk to the DRC's economic outlook.

Executive Board Assessment²

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² At the conclusion of the discussion, the Managing Director, as Chairman of the Board, summarizes the views of Executive Directors, and this summary is transmitted to the country's authorities. An explanation of any qualifiers used in summings up can be found here: <http://www.imf.org/external/np/sec/misc/qualifiers.htm>.

Democratic Republic of the Congo: Selected Economic Indicators, 2012–16					
	2012	2013	2014	2015	2016
GDP and Prices	(Annual percentage change; unless otherwise				
Real GDP	7.2	8.5	8.7	8.5	7.9
GDP deflator	7.5	0.7	1.3	2.9	4.0
Consumer prices, period average	2.1	0.8	2.4	4.1	4.8
Consumer prices, end-of-period	2.7	1.0	3.7	4.5	5.0
External sector					
Exports, f.o.b. (U.S. dollars)	-13.7	16.6	16.5	12.1	11.9
Imports, f.o.b. (U.S. dollars)	-7.0	16.3	5.1	6.2	10.1
Export volume	-1.7	25.0	7.5	12.1	11.5
Import volume	-7.8	15.4	8.7	7.9	10.5
Terms of trade	-11.5	-7.2	12.4	2.0	1.0
	(Annual change in percent of beginning-of-period broad money, unless otherwise indicated)				
Money and credit					
Broad money	21.1	18.1	10.1	13.1	...
Net foreign assets	22.9	2.3	10.7	7.1	...
Net domestic assets	-1.9	15.7	-0.5	6.1	
Domestic credit	-4.6	14.5	5.2	5.9	...
Of which:					
Net credit to government (annual percent change)	-18.9	3.6	-0.2	0.3	...
Credit to the private sector (annual percent change)	25.6	26.5	11.9	12.0	...
	(Percent of GDP)				
Central government finance					
Revenue and Grants	20.1	17.4	17.4	18.2	19.3
Revenue	14.9	13.0	13.9	14.0	14.7
Grants	5.2	4.4	3.5	4.2	4.6
Expenditure	19.5	19.1	19.6	19.9	20.9
Domestic fiscal balance (cash basis)	1.2	0.2	0.5	0.7	0.7
Net borrowing/lending (overall balance, incl. grants)	0.6	-1.7	-2.2	-1.7	-1.6
Investment and saving					
Gross national saving	12.3	11.2	12.2	13.7	15.8

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Democratic Republic of the Congo: Selected Economic Indicators, 2012–16 (concluded)					
Government	3.7	2.9	3.4	3.8	4.3
Nongovernment	8.5	8.3	8.8	9.9	11.5
Investment	20.3	21.3	21.6	22.7	23.8
Government	6.1	6.4	6.2	6.6	7.0
Nongovernment	14.2	14.9	15.3	16.1	16.8
Balance of payments					
Exports of goods and services	34.1	36.4	39.1	40.2	41.3
Imports of goods and services	40.0	42.5	41.1	39.9	40.1
Current account balance, incl. transfers	-8.0	-10.1	-9.3	-8.8	-7.8
Current account balance, excl. transfers	-10.9	-15.4	-14.0	-12.9	-12.0
Gross official reserves (end-of-period, millions of U.S. dollars)	1,645	1,695	1,905	1,955	2,165
Gross official reserves (weeks of non-aid-related imports of goods and services)	7.7	7.7	8.4	8.1	8.6
	(Millions of U.S. dollars; unless otherwise indicated)				
External public debt					
Total stock, including IMF	4,662	5,196	6,055	7,096	8,012
Present value (PV) of debt ³	5,354	3,205	3,918	4,504	5,139
PV of debt (percent of exports of goods and services)	57.0	29.5	31.1	32.0	32.7
Scheduled debt service	181.7	194.6	189.3	330.0	366.5
Percent of exports of goods and services	1.9	1.8	1.5	2.3	2.3
Percent of government revenue	4.4	5.0	4.2	6.6	6.4
Exchange rate, (CGF per U.S. dollar)					
Period average	919	919	...	...	...
End-of-period	915	926	...	...	...
<i>Memorandum item:</i>					
Nominal GDP (CGF billions) ¹	25,250	27,596	30,390	33,939	38,094

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ Starting in 2012 CPI numbers is calculated by INS using a revised methodology. The CPI for 2012 according to the previous methodology amounted to 5.7 percent (eop) and 9.3 (average).

² The projections for 2011 and beyond account for mining companies profit outflows.

³ Projections are based on calculations under the 2010 HIPC Debt Sustainability Analysis (EBS/10/121, 06/16/2010). Includes assistance beyond the terms of the enhanced HIPC Initiative granted by some Paris Club creditors. Exports are a trailing three-year moving average.